Supreme Court, U.S.
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No.

IN THE

Supreme Court of the United States

HOFFMAN PLASTIC COMPOUND, INC.,
Petitioner,

v.

NATIONAL LABOR RELATIONS BOARD,
Respondent.

On Petition For Writ of Certiorari To The
United States Court of Appeals
For The District of Columbia Circuit

PETITION FOR WRIT OF CERTIORARI

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QUESTION PRESENTED FOR REVIEW

Whether an undocumented alien who—without his employer's knowledge—obtained employment by presenting his employer with fraudulent immigration documents, is entitled to backpay as compensation for a violation of the National Labor Relations Act if the undocumented alien never was legally authorized to work in the United States during the backpay period.

LIST OF INTERESTED PARTIES

The following is a complete list of all parties with an interest in the outcome of this litigation. There are no other parties or subsidiary companies which are required to be listed pursuant to Supreme Court Rule 29.6:

Petitioner herein:

Hoffman Plastic Compound, Inc.

Respondents herein:

National Labor Relations Board

Victoria E. Aguayo, Regional Director, Region 21, NLRB

Amicus Curiae below:

AFL-CIO

Other Interested Parties:

Samuel Perez (aka Jose Castro)

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No.

IN THE

Supreme Court of the United States

October Term, 2000

HOFFMAN PLASTIC COMPOUND, INC.,
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NATIONAL LABOR RELATIONS BOARD,
Respondent.

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For The District of Columbia Circuit

PETITION FOR WRIT OF CERTIORARI

OPINIONS BELOW

The ruling of the United States Court of Appeals for the District of Columbia Circuit is reported as *Hoffman Plastic Compound, Inc. v. National Labor Relations Board*, 237 F.3d. 639 (D.C. Cir. 2001) (App. 1a). The ruling of the National Labor Relations Board is reported as *Hoffman Plastic Compounds, Inc. and Casimiro Arauz*, 326 N.L.R.B. 1060 (1998) (App. 78a). The decision of the administrative law judge is an attachment to 314 N.L.R.B. 683 (1994). (App. 88a).

JURISDICTION

The jurisdiction of this Court is invoked under 28 U.S.C. § 1254. (App. 98a).

STATUTES INVOLVED IN THIS CASE

8 U.S.C. § 1324a (App. 99a).

8 U.S.C. § 1324c (App. 102a).

8 U.S.C. § 1546(b) (App. 103a)

FACTUAL BACKGROUND AND PROCEDURAL HISTORY

A. The NLRB Decision

On January 31, 1989, Hoffman Plastic Compound, Inc. ("Hoffman") laid off several employees, including an employee known as "Jose Castro." The National Labor Relations Board ("NLRB") later determined that the layoff of these employees violated the National Labor Relations Act ("NLRA") and ordered Hoffman to offer reinstatement to each of the employees and to make them whole for any losses they incurred. The NLRB subsequently convened a compliance proceeding for purposes of determining backpay. There, the employee known to Hoffman only as "Jose Castro" falsely testified that Jose Castro was his true name. Then, he admitted that he was not a citizen of the United States and that he obtained employment at Hoffman by presenting a fraudulent birth certificate, an act made illegal by the immigration laws.

In November 1993, an administrative law judge issued a decision regarding backpay for "Jose Castro." The ALJ determined that Castro was not entitled to either reinstatement or backpay because, under *Sure-Tan v. NLRB*, 467 U.S. 883, 104 S. Ct. 2803 (1984), "backpay is tolled during any period when a discriminatee is not lawfully authorized to work in this country" and Castro never was lawfully authorized to work during the backpay period.

Nearly five years later, the NLRB reversed the ALJ's decision. On September 23, 1998, two members of a three-member Board panel decided that, notwithstanding the plain language of *Sure-Tan*, Castro was entitled to backpay from the

date of his layoff until June 14, 1993, when Hoffman first learned that Castro used fraudulent identification to obtain employment.

B. The Court of Appeals' Split Decisions

On December 2, 1998, Hoffman filed a Petition for Review of the Board's decision with the United States Court of Appeals for the District of Columbia Circuit, which had jurisdiction pursuant to 29 U.S.C. § 160(f). The NLRB subsequently filed a cross-application for the enforcement of its order. The Court of Appeals rendered its initial decision on March 17, 2000. In a 2-1 decision, the Court of Appeals affirmed the NLRB's backpay award to Castro.

Hoffman timely filed a Petition for Rehearing En Banc. The Court of Appeals granted that petition and vacated its earlier order. On January 16, 2001, the Court of Appeals issued another divided opinion. In a 5-4 decision, the Court of Appeals again narrowly affirmed the NLRB's backpay order to Castro even though Castro never was lawfully entitled to be present or employed in the United States during the backpay period.

For all of the reasons that follow, the majority decision issued by the Court of Appeals was erroneous and consideration by this Court is necessary.

THE REASONS FOR GRANTING THIS PETITION

In *Sure-Tan v. NLRB*, 467 U.S. 883, 104 S. Ct. 2803 (1984), this Court held that undocumented aliens who are not authorized to work in the United States during the backpay period are not entitled to backpay as compensation for a violation of the NLRA. Since *Sure-Tan*, four circuit courts of appeal have considered whether *Sure-Tan* prohibits an award of backpay to undocumented aliens. Despite the plain meaning of *Sure-Tan*, a conflict both between and within these circuit courts has developed regarding the proper interpretation of *Sure-Tan*.

In *Hoffman Plastic v. NLRB*, the District of Columbia Circuit added to the confusion by holding that, instead of prohibiting an award of backpay to undocumented aliens, *Sure-Tan* supports such backpay awards. This decision conflicts with this Court's decision in *Sure-Tan* and with the Immigration and Nationality Act ("INA") and the Immigration Reform and Control Act of 1986, as amended ("IRCA"). Accordingly, review by this Court is required to resolve the conflict between the circuits and to properly reconcile this country's immigration laws with this Court's holding in *Sure-Tan*.

A. Supreme Court Review Is Required To Resolve A Severe Conflict Among The Circuits As To The Meaning Of This Court's Holding In Sure-Tan And To Avoid A Direct Conflict With The Plain Language Of This Court's Decision

1. *Sure-Tan v. NLRB*

Whether undocumented aliens may recover backpay as compensation for an unlawful discharge was addressed by this Court in *Sure-Tan, Inc. v. NLRB*, 467 U.S. 883, 104 S.Ct. 2803 (1984). In *Sure-Tan*, after a union was elected as the employees' collective bargaining representative and in an attempt to invalidate the election, the employer informed the Immigration and Naturalization Service ("INS") that several of the employees who voted for the union were undocumented aliens. 467 U.S. at 886. Upon threat of deportation, these employees voluntarily left the country. *Id.* at 887. The NLRB later concluded that the employer's report to the INS constituted an unfair labor practice. *Id.* at 888.

This Court agreed. *Id.* at 895-96. In considering the remedy to which the undocumented aliens *might* be entitled, the Court held that the Board's traditional remedies of reinstatement and backpay "must be conditioned upon the employees' legal readmittance to the United States." *Id.* at 902-03. With respect to backpay specifically, the Court stated that "the employees must be deemed '*unavailable*' *for work*

(and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States." *Id.* at 903 [emphasis added].

In so holding, the Court recognized that the discharged employees would very likely be left without any remedy whatsoever:

> "We share the Court of Appeals' uncertainty concerning whether any of the discharged employees will be able to enter the country lawfully to accept the reinstatement offers or to establish at the compliance proceedings that they were lawfully available for employment during the backpay period. The probable unavailability of the Act's more effective remedies in light of the practical workings of the immigration laws, however, simply cannot justify judicial arrogation of remedial authority not fairly encompassed within the Act." *Id.* at 904.

Although the language of this Court's *Sure-Tan* holding seems plain enough, every court of appeals to consider the issue since *Sure-Tan* has been forced to issue a divided opinion as to the Court's meaning, as has the NLRB. Most significantly, the Seventh Circuit reached a conclusion opposite to that of the District of Columbia Circuit, by a 2-1 vote in *Del Rey Tortilleria v. NLRB*, 976 F.2d 1115 (7th Cir. 1992). There, the Seventh Circuit held that undocumented alien workers who are discharged in violation of the NLRA are not entitled to backpay or reinstatement as a matter of law. After analyzing the *Sure-Tan* opinion at length, the Seventh Circuit concluded that the plain language of *Sure-Tan* barred undocumented aliens from receiving backpay:

> "The [*Sure-Tan*] Court seemed to determine that the policy behind the INA— 'the objective of deterring unauthorized immigration'—required the employees to show that they were lawfully available for employment during the backpay period. Otherwise,

> undocumented aliens would be rewarded by the NLRB for entering the United States illegally."

Id. at 1119. Accordingly, the Seventh Circuit held that the undocumented workers at issue were precluded from receiving backpay for "any period when they were not lawfully entitled to be present and employed in the United States." *Id.* at 1121 (citing *Sure-Tan*, 467 U.S. at 903).

Even those other courts of appeal that have agreed with the District of Columbia Circuit's interpretation of *Sure-Tan* have had to issue split decisions. *See Local 512, Warehouse & Office Workers' Union v. NLRB*, 795 F.2d 705 (9th Cir. 1986) (also known as *Felbro*) (2-1 decision); *NLRB v. A.P.R.A. Fuel Oil Buyers Group, Inc.*, 134 F.3d 50 (2d Cir. 1997) (2-1 decision). Indeed, the NLRB itself has been similarly divided, first holding in *Local 512* that the *Sure-Tan* decision precluded any award of backpay to aliens not authorized to work in this country, but then reversing itself in another split decision in *A.P.R.A. Fuel. Felbro and Local 512, Warehouse & Office Workers' Union*, 274 N.L.R.B. 1268 (1985); *Local 512*, 795 F.2d at 708; *A.P.R.A. Fuel Oil Buyers Group*, 320 N.L.R.B. 408 (1995). In the present case, the Administrative Law Judge held that *Sure-Tan* foreclosed any backpay award to the illegal alien known as Castro, only to have the NLRB reverse him in another split decision. Finally, the District of Columbia Circuit issued two split decisions here, both of which reach the wrong result.

Clearly, the proper interpretation of this Court's holding in *Sure-Tan* has engendered the type of conflict within the circuits that cries out for review and resolution by this Court. For this reason alone, this Petition should be granted.

2. The District of Columbia Court of Appeals Misinterpreted *Sure-Tan*

In the present case, it is undisputed that Castro entered the United States illegally and illegally obtained employment at Hoffman by using a fraudulent birth certificate. The outcome in the instant case is, therefore, controlled by this

Court's words in *Sure Tan*—backpay must be "tolled" during "any period when the undocumented worker [is] not lawfully entitled to be legally present and employed in the United States." Because Castro never was lawfully present nor lawfully entitled to employment during the backpay period, *Sure-Tan* requires that he be denied backpay.

The Court of Appeals agrees that, "[r]ead literally," *Sure-Tan* stands for the proposition that an undocumented alien who is not legally present or legally entitled to employment is not entitled to backpay. *Hoffman Plastic Compound, Inc. v. NLRB*, 237 F.3d 639, 642 (D.C. Cir. 2001). However, the majority maintains that it is not restricted by this proposition. Indeed, the majority contends that rather than barring backpay to undocumented aliens, "[p]roperly understood, *Sure-Tan* supports backpay awards to undocumented discriminatees...." *Id.* at 640.

To understand *Sure-Tan* in such a way, however, the majority is forced to weave a web of complicated theories, which twists *Sure-Tan's* language beyond comprehension. This complicated re-construction of *Sure-Tan* begins with the majority's erroneous conclusion that the crucial sentence—"the employees must be deemed unavailable for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States"—did not address any issue before the *Sure-Tan* Court. *Id.* at 642. The majority states that this language, "form[s] no part of *Sure-Tan's* holding or reasoning," *Id.* at 644, and is "hardly . . . dictum." *Id.* at 642.

The majority's conclusion boggles the mind. In a concise sentence, the *Sure-Tan* Court made it perfectly clear that backpay was indeed an issue before it. Even the majority acknowledges that this Court in *Sure-Tan* was faced with an issue regarding the "minimum backpay award." *Id.* at 643.

To further justify its departure from *Sure-Tan*, the majority contends that *Sure-Tan's* holding regarding the tolling of backpay was intended only to eliminate the

incentive for illegal aliens to illegally re-enter the United States. The majority reasons that, because the *Sure-Tan* discriminatees had left the country, that *Sure-Tan* stands for the proposition that only those undocumented workers who absent themselves from the country during the backpay period are ineligible for backpay. *Id.* at 642-43.

To be sure, the Supreme Court in *Sure-Tan* was concerned with deterring unauthorized immigration. To guard against illegal entry, the Supreme Court stated:

> "[A]s the Court of Appeals recognized, the implementation of the Board's traditional remedies at the compliance proceedings must be conditioned upon the employees' legal readmittance to the United States. In devising remedies for unfair labor practices, the Board is obliged to take into account another equally important Congressional objective to wit, the objective of deterring unauthorized immigration that is embodied in the INA. By conditioning the offers of reinstatement on the employees' legal reentry, a potential conflict with the INA is thus avoided." 467 U.S. at 902-03.

It is unsurprising that the Supreme Court focused on legal reentry as a prerequisite to reinstatement. Without legal reentry, the *Sure-Tan* employees who had left the country could not be lawfully reinstated.

However, the Court's discussion regarding backpay was not so narrowly constrained. The Court stated:

> "Similarly, in computing backpay, the employees must be deemed 'unavailable' for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States." *Id.* at 903.

Nowhere does the Supreme Court expressly state that the backpay portion of its decision applies only to those illegal

aliens who depart the country. Instead, the Court's holding sweeps more broadly and denies backpay not only to those illegal aliens who are not legally present in the United States, but also to those who, like Castro, are not legally entitled to be employed in the United States.

Even the majority has difficulty reconciling *Sure-Tan's* broad language with its narrow interpretation:

> "It is true, as Hoffman points out, that the words 'not lawfully entitled to be present and employed' sweep more broadly than necessary to deter undocumented discriminatees from reentering the country illegally." 237 F.3d. at 644.

Once again however, the majority elects to disregard *Sure-Tan's* plain language because, in the majority's opinion, to do otherwise would "conflict[] with 'other language'... making it clear that undocumented discriminatees are in fact entitled to backpay." *Id.* The "other language" from *Sure-Tan* that the majority seizes upon is as follows:

> "We generally approve the Board's original course of action in this case by which it ordered the conventional remedy of reinstatement with backpay, leaving until the compliance proceedings more specific calculations as to the amounts of backpay, if any, due these employees." 467 U.S. at 902.

237 F.3d at 644.

This Court's general approval of the Board's traditional remedies is not at odds with the backpay limitation that it imposed in *Sure-Tan*. As Judge Sentelle points out in his dissent, this Court's general acceptance of these remedies "no more compels us to uphold a backpay award to an employee not lawfully entitled to employment than it compels us to uphold illegal reinstatement of the same employee." 237 F.3d. at 653.

Nor is the entitlement to a compliance proceeding somehow inconsistent with *Sure-Tan's* backpay prohibition.

The Supreme Court in *Sure-Tan* remanded the case to the NLRB to determine "whether any of the discharged employees will be able...to establish at the compliance proceedings that they were lawfully available for employment during the backpay period." 467 U.S. at 904, 906. In so doing, the Court recognized that the discharged employees would likely not be able to establish any entitlement to backpay at the compliance hearing. Indeed, the Court stated,

> "[T]he probable unavailability of the Act's more effective remedies in light of the practical workings of the immigration laws, however, simply cannot justify judicial arrogation of remedial authority not fairly encompassed within the Act."

Id. at 904. Thus, a compliance proceeding is no guarantee to backpay, but simply a procedural step that must occur before backpay, if any, is awarded.

As demonstrated above, the majority goes astray at every step in its analysis of *Sure-Tan* and its application of *Sure-Tan* to the instant case. The majority's misinterpretation and misapplication of *Sure-Tan* requires review by this Court.

B. Supreme Court Review Is Required To Resolve A Conflict Among The Circuits With Regard To The Application Of The Immigration Laws

1. IRCA and the INA

Congress enacted the Immigration Reform and Control Act ("IRCA") in 1986. IRCA makes it unlawful for any employer to knowingly hire or continue to employ an unauthorized alien. 8 U.S.C. § 1324a(a)(1)-(2). IRCA also makes it unlawful for any person to obtain employment by presenting documentation which falsely represents his immigration status. 8 U.S.C. § 1324c(a). Prior to IRCA, the Immigration and Nationality Act ("INA") made it a crime to use an identification document "knowing that the document was not issued lawfully for the use of the possessor, [or] ... that the document is false." 18 U.S.C. § 1546(b).

Castro's use of a fraudulent birth certificate to obtain employment at Hoffman was illegal under both the INA and IRCA. Because Castro's illegal act implicated this country's immigration laws, the NLRB was required to tailor its remedy to avoid any conflict between the NLRA, and the INA and IRCA. *Sure-Tan*, 467 U.S. at 903 ("In devising remedies for unfair labor practices, the Board is obliged to take into account another 'equally important Congressional objective' – to wit, the objective of deterring unauthorized immigration that is embodied in the INA."). By awarding backpay to Castro, an illegal alien who obtained work illegally in the United States, the NLRB failed to properly account for the objectives of the immigration laws. And, the majority failed to correct this error when it affirmed the NLRB's backpay award.

2. The Court of Appeals Erred By Improperly Deferring to the NLRB

The majority justifies its failure to correct the Board's error by deferring to the judgment of the NLRB. In considering the potential policy conflicts between the NLRA and the immigration laws, the majority dodges the issue, stating, "we need not resolve these policy questions, for it is the Board that possesses expertise in this area and it is to the Board that we owe deference." 237 F.3d at 647. The Board was not entitled to such deference, however. Because the Board has no authority to interpret or apply the immigration laws, its decisions regarding such issues are entitled to no deference whatsoever. *Bevles Co. v. Teamsters Local 986*, 791 F.2d 1391, 1393 n.3 (9th Cir. 1986), *cert. denied*, 484 U.S. 985, 108 S. Ct. 500 (1987).

3. The Court of Appeals Failed to Resolve the Conflict Between the NLRA and the Immigration Laws Created by the NLRB's Backpay Award

Rather than defer to the Board, the Court of Appeals was required to prevent the Board from issuing a remedy that

"potential[ly] conflict[s]" with the immigration laws. 467 U.S. at 903. This, the majority failed to do.

The majority suggests that there is no conflict between the NLRA and the immigration laws because nothing in IRCA prohibits an award of backpay to an undocumented worker. What the majority fails to appreciate, however, is that IRCA and the INA made Castro's employment illegal and, therefore, he was not legally available for employment in the United States and was not entitled to the backpay that he was granted by the NLRB. By approving a backpay award to Castro, the Court of Appeals elevated the labor laws above the immigration laws.

The majority defends its action by pointing to IRCA's legislative history, which the majority contends offers support for the Board's backpay award. This legislative history, a House Judiciary Committee report, states that IRCA's employer sanctions provisions are not intended to:

> "be used to undermine or diminish in any way labor protections in existing law, or limit the powers of federal or state labor relations board, labor standards agencies, or labor arbitrators to remedy unfair practices committed against undocumented employees for exercising their rights before such agencies or for engaging in activities protected by existing law. In particular, the employer sanction provisions are not intended to limit in any way the scope of the term 'employee' in Section 2(3) of the [NLRA], as amended or of the rights and protections stated in Sections 7 and 8 of that Act. As the Supreme Court observed in *Sure-Tan*, application of the NLRA 'helps to assure that the wages and employment conditions of lawful residents are not adversely affected by the competition of illegal alien employees who are not subject to the standard terms of employment." H.R. Rep. 99-682 (I), 99th Cong. 2d Sess. 58, *reprinted in* 6 U.S.S.C.A.N. 5649, 5662 (1986).

As this Court held in *West Virginia University Hospitals, Inc. v. Casey*, 499 U.S. 83, 98, 111 S. Ct. 1138 (1991) (superceded on other grounds by statute), where the language of a statute is clear, "we do not permit it to be expanded or contracted by the statements of individual legislators or committees during the course of the enactment process." *See also, Circuit City Stores, Inc. v. Adams*, 2001 U.S. LEXIS 2459, *26 (March 21, 2001) ("Legislative history is problematic even when the attempt is to draw inferences from the intent of duly appointed committees of the Congress."). Nothing about IRCA's application to this case is ambiguous and, therefore, there is no need to consult IRCA's legislative history.

Additionally, even if the legislative statement referenced by the majority were relevant, this statement falls far short of delivering any sort of backpay guarantee. As the Seventh Circuit found in *Del Rey Tortilleria v. NLRB*:

> "th[is] Committee Report merely endorses the first holding of *Sure-Tan* that undocumented aliens are employees within the meaning of the NLRA. The Committee did not disapprove of the part of the decision holding that undocumented aliens are entitled to receive backpay only for those periods when they are lawfully entitled to be present and employed in the United States. The Committee's preference that existing law be preserved can be read as support for the remedial holding of *Sure-Tan*. We do not believe that Congress, in passing IRCA, expressed its dissatisfaction with *Sure-Tan*'s remedial holding." 976 F.2d at 1121.

Under IRCA, it is beyond dispute that the employment of an undocumented alien is illegal. It also is beyond dispute that an undocumented worker who furnishes a fraudulent immigration document to obtain employment has committed a criminal act. Such undocumented workers are not "lawfully available for employment" and, thus, not eligible for an award of backpay. By holding otherwise, the majority created a

direct conflict between the immigration laws and the NLRA. This Court should accept review to resolve this conflict.

CONCLUSION

In *Sure-Tan*, this Court stated that backpay must be "tolled" during "any period when the undocumented worker [is] not lawfully entitled to be legally present and employed in the United States." At no time during the backpay period elucidated by the NLRB in this case was Jose Castro ever legally present in the United States or legally entitled to work in this country. Accordingly, under *Sure-Tan*, Castro was entitled to no backpay.

The Court of Appeals for the District of Columbia erred in approving the Board's backpay order for Castro. The Court of Appeals' approval of the backpay award disregards this Court's holding in *Sure-Tan* and conflicts with this country's immigration laws.

For all of the reasons stated herein, Hoffman respectfully requests that this Court grant its petition for *certiorari*.

Respectfully submitted,

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April 16, 2001

HOFFMAN PLASTIC COMPOUNDS; INC.,
Petitioner,

v.

NATIONAL LABOR RELATIONS BOARD,
Respondent.

United States Court of Appeals,
District of Columbia Circuit.

Argued *En Banc* Sept. 27, 2000.
Decided Jan. 16, 2001.

Employer petitioned for review of, and National Labor Relations Board (NLRB) cross-applied for enforcement of, NLRB order awarding undocumented alien backpay from date of his illegal termination until employer discovered he was unauthorized to work. A panel of the Court of Appeals, 208 F.3d 229, ordered enforcement. Following grant of petition for rehearing en banc, the Court of Appeals, Tatel, Circuit Judge, held that: (1) alien's undocumented status did not render him ineligible to obtain backpay as remedy for employer's violation of National Labor Relations Act (NLRA), and (2) NLRB did not abuse its discretion in denying undocumented alien reinstatement and limiting his backpay to period beginning with his unlawful termination and ending on date employer learned of his undocumented status.

Enforcement granted

Sentelle, Circuit Judge, dissented and filed opinion with which Henderson and Randolph, JJ, joined and Ginsburg, Circuit Judge, joined in part.

Ginsburg, Circuit Judge, dissented and filed opinion.

1. Courts 96(3)

Pronouncements of United States Supreme Court must be read in light of the holding of the case and to the degree possible, so as to be consistent with the Court's apparent intentions and with other language in the same opinion.

2. Labor Relations 632

United States Supreme Court's *Sure-Tan* decision, tolling backpay due worker under National Labor Relations Act (NLRA) for any period during which worker was not lawfully entitled to be present and employed in United States, applied only to workers who had left country and were seeking to reenter, rather than undocumented employees who had never left country. National Labor Relations Act, § 8(a)(1, 3), as amended, 29 U.S.CA § 158(a)(1, 3).

3. Labor Relations 632

National Labor Relations Board (NLRB) order, requiring employer found to have violated National Labor Relations Act (NLRA) to provide backpay to undocumented alien employee up to date that employer discovered that employee was undocumented, did not cause employer to violate Immigration Reform and Control Act (IRCA) provision penalizing use of undocumented aliens. Immigration and Nationality Act, § 274(a), 8 U.S.C.A § 1324(a); National. Labor Relations Act, § 8(a)(1, 3), as , amended, 29 U.S.CA. § 158(a)(1, 3).

4. Statutes 219(1)

Government agency's interpretation of statute which it does not administer is entitled to no deference by court.

5. Labor Relations 611

When National Labor Relations Board (NLRB) is required to consider another statutory scheme, in fashioning enforcement order under National Labor Relations Act (NLRA), NLRB must fully enforce the requirements of its own statute, but must do so, insofar as possible, in a manner

that minimizes the impact of its actions on the policies of the other statute. National Labor Relations Act, § 8(a)(1,3), as amended, 29 U.S.C.A. § 158(a)(1, 3).

6. Labor Relations 669

Employer lacked standing to assert that National Labor Relations Board (NLRB) violated equal protection rights of documented alien workers by granting backpay to undocumented workers subjected to unfair labor practices in violation of National Labor Relations Act (NLRA), without considering ability of undocumented workers to mitigate damages. U.S.C.A. Const. Amend. 5; National Labor Relations Act, § 8(a)(1, 3).

On Petition for Review and Gross-Application for Enforcement of an Order of the national Labor Relations Board.

Maurice Baskin argued the cause for petitioner. With him on the briefs was Ryan D. McCortney.

Sharon Block, Attorney, national Labor Relations Board, argued the cause for respondent. With her on the brief were Leonard R. Page, General Counsel, Aileen A. Armstrong, Deputy Associate General Counsel, and Fred L. Cornnell, Jr., Attorney. Linda R. Sher, Associate General Counsel, and John D. Burgoyne, Deputy Associate General Counsel, entered appearances.

James B. Coppess argued the cause for amicus curiae American Federation of Labor and Congress of Industrial Organizations. With him on the brief were Jonathan P. Hiatt and Laurence Gold.

Before: EDWARDS, Chief Judge, WILLIAMS, GINSBURG, SENTELLE, HENDERSON, RANDOLPH,

ROGERS, TATEL, GARLAND, Circuit Judges, and SILBERMAN, Senior Circuit Judge.*

Opinion for the Court filed by Circuit Judge TATEL.

Dissenting opinion filed by Circuit Judge SENTELLE, in which Circuit Judges GINSBURG, HENDERSON, AND RANDOLPH join.

Dissenting opinion filed by Circuit Judge GINSBERG.

TATEL, Circuit Judge:

Petitioner illegally fired several workers in retaliation for their attempts to organize a union. Finding multiple unfair labor practices, the National Labor Relations Boars ordered its traditional remedy, reinstatement wit backpay, for all discharged employees. When the Board learned that one discriminatee was an undocumented alien, it denied reinstatement and terminated backpay as of the date petitioner discovered the discriminatee's lack of documentation. Challenging even this reduced award, petitioner argues that both *Sure-Tan, Inc. v. NLRB*, 467 U.S. 883, 104 S.Ct. 2803, 81 L.Ed.2d 732 (1984), and the Immigration Reform and Control Act of 1986 ("IRCA"), 100 Stat. 3359, bar awards of any backpay to undocumented discriminatees. We disagree. Properly understood, *Sure-Tan* supports backpay awards to undocumented so long as the awards reflect the discriminatees' actual losses. Moreover, because nothing in IRCA prohibits such limited backpay awards, and because the Board fashioned the award in this case not just to fulfill the objective of the National Labor Relations Act, but also to avoid violations of IRCA, the award falls within the Board's broad remedial discretion. We therefore deny the petition for review and grant the cross-application for enforcement.

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* Senior Judge Gilberman was in regular active service at the time of oral argument. Judge Garland took no part in this matter.

I

Petitioner Hoffman Plastic Compounds, Inc., manufactures custom-formulated polyvinylchloride pellets for use by customers who produce pharmaceutical, construction, and household products. In May 1998, José Castro, began working in Hoffman's production plant earning minimum wage as a compounder, an operator of large blending machines that mix and cook plastic formulas ordered by customers. When the United Rubber, Cork, Linoleum, and Plastic Workers of America, AFL-CIO began an organizing drive at Hoffman's factory, Castro, along with several other employees, distributed union authorization cards to coworkers. Following what the Board later described as "coercive and restraining" interrogation of union supporters, Hoffman laid off all employees who had engaged in organizing activities, including Castro. *Hoffman Plastic Compounds, Inc.*, 306 N.L.R.B. 100, 1992 WL 14561 (1992).

After one discharged employee filed charges with the Board, an Administrative Law Judge found that the company had engaged in multiple unfair labor practices. The Board adopted the ALJ's findings, concluding not only that Hoffman had unlawfully interrogated employees about their union activities and sympathies, but also that "in order to rid itself of known union supporters, [the company] discriminatorily selected union adherents for lay-off" in violation of sections 8(a)(1) and (3) of the NLRA, 29 U.S.C. § 158(a)(1), (3). *Hoffman Plastic*, 306 N.L.R.B. at 100. The Board ordered Hoffman to cease and desist from such unfair labor practices, to post a notice at the work site and to reinstate and make whole the union supporters it had illegally fired.

When a dispute arose as to the proper computation of backpay, a compliance hearing was held before another ALJ. Castro appeared at the hearing, testifying through an interpreter. When Hoffman's attorney began questioning Castro about his citizenship, the Board's General Counsel objected. The ALJ sustained the objection. The ALJ

sustained the objection, but not before Castro had stated that he was a Mexican national and that the birth certificate he had used to gain employment at Hoffman was borrowed from a friend. On the basis of this admission, the ALJ recommended neither reinstatement nor backpay. In reaching this conclusion, the ALJ relied on IRCA, which makes it unlawful for employers to knowingly hire undocumented workers and for employees to use fraudulent documents to establish employment eligibility. *See Hoffman Plastic Compounds, Inc.*, 314 N.L.R.B. 663, 685, 1994 WL 397901 (1994).

Expressly considering the policies of both IRCA and the NLRA, the Board agreed with the ALJ that reinstatement of an undocumented discriminatee would be inappropriate. *See* 326 N.L.R.B. No. 86, 1998 WL 663933, at *2-4 (Sept. 23, 1998). As the Board had explained in an earlier case, ordering reinstatement would force an employer to violate IRCA's prohibition against knowingly hiring undocumented aliens. *See A.P.R.A Fuel Oil Buyers Group, Inc.*, 320 N.L.R.B. 408, 415, 1995 WL 803434 (1995). The Board disagreed with the ALJ that IRCA prevented any award of backpay. To account for IRCA's prohibition on the fraudulent use of documents, however, the Board applied its well-established after-acquired evidence rule and ended backpay liability the moment Hoffman became aware of Castro's undocumented status. *Hoffman Plastic*, 1998 WL 663933 at *3-4.

Hoffman petitioned for review of the Board's order. The company did not challenge the Boards's finding that it committed unfair labor practices, including the illegal discharge of known union organizers. It contested only Castro's limited backpay award, arguing primarily that awards of backpay to undocumented discriminatees are barred by *Sure-Tan, Inc. v. NLRB*, 467 U.S. 883, 104 S.Ct. 2803, 81 L.Ed.2d 732 (1984), and, in the alternative, by IRCA. Cross-applying for enforcement, the NLRB, supported by amicus AFL-CIO, responded that the limited backpay award runs

afoul of neither *Sure-Tan* nor IRCA and falls well within the Board's remedial discretion.

A divided panel of this court resolved all issues in the Board's favor. *Hoffman Plastic Compounds, Inc. v. NLRB*, 208 F.3d 229 (D.C. Cir.2000). We then granted Hoffman's petition for rehearing en banc and vacated the panel opinion: Having now heard Hoffman's claims en banc, we again deny the petition for review and grant the Board's cross-application for enforcement.

II

[1, 2] We begin with Hoffman's argument, embraced by our dissenting colleagues, that this case is controlled by a single sentence from *Sure-Tan*: "[I]n computing backpay, the employees must be deemed 'unavailable' for work (and the accrual of backpay therefore toiled) during any period when they were not lawfully entitled to be present and employed in the United States." *Sure-Tan*, 467 U.S. at 903, 104 S.Ct. 2803. This sentence, Hoffman claims, "plainly prohibits: the NLRB from awarding even limited backpay to undocumented workers victimized by unfair labor practices. Read literally and divorced from *Sure-Tan*'s factual and legal context, the sentence could well be interpreted to support that view. But the Supreme Court has warned against "dissect[ing] the sentences of the United States Reports as though they were the United States Code." *St. Mary's Honor Ctr. v. Hicks*, 509 U.S. 502, 515, 113 S.Ct. 2742, 125 L.Ed.2d 407 (1993). And as we have said, "[t]he Court's every word and sentence cannot be read in a vacuum; its pronouncements must be read in light of the holding of the case and to the degree possible, so as to be consistent wit the Court's apparent intentions and with other language in the same opinion." *Aka v. Washington Hospital Ctr.*, 156 F.3d 1284, 1291 (D.C.Cir.1998) *(en banc)*.

Read in context, the *Sure-Tan* sentence does not bar backpay to undocumented discriminatees. The Seventh Circuit originally crafted the sentence, which the Supreme Court merely repeated, to deal with unique circumstances of

Sure-Tan not present in this case. Contested by neither party, the restriction imposed by the sentence did not address an issue in dispute before the Court; nor did it play any part in either *Sure-Tan*'s holding or reasoning. As such, the sentence is hardly "considered dict[tum]." *Cf.* Dissenting Op. At 654. Moreover, extending the sentence beyond the facts of *Sure-Tan*, as Hoffman urges, would conflict with the Court's holding that an undocumented discriminatee is entitled to backpay so long as it is appropriately tailored to the discriminatee's actual loss.

The employer is *Sure-Tan* committed an unfair labor practice when, in retaliation for its employees' success in electing a union it alerted the Immigration and Naturalization Service that some of its employees might be undocumented. Rather than deport the workers, the INS allowed them to leave the country voluntarily. "By the end of the day, all five employees were on a bus ultimately bound for Mexico." *Sure-Tan*, 467 U.S. at 887, 104 S.Ct. 2803. The Board ordered the traditional remedy of reinstatement with backpay. *Sure-Tan*, 246 N.L.R.B. 788, 1979 WL 9533 (1979). Two members dissented, fearing that these remedies could produce violations of the then-existing immigration law, the Immigration and Nationality Act. *Id.* At 789-90. The INA focused not on employment of undocumented workers—that came later when Congress enacted IRCA—but rather on "the terms and conditions of admission to the country." *Sure-Tan*, 467 U.S. at 892, 104 S.Ct. 2803 (quoting *De Canas v. Bica*, 424 U.S. 351, 359, 96 S.Ct. 933, 47 L.Ed.2d 43 (1976)). Citing these prohibitions, the dissenters would have limited the remedy to avoid "encourag[ing] a discriminatee to reenter the country illegally." *Sure-Tan*, 246 N.L.R.B. at 789.

Echoing the dissenting members' concerns, the Seventh Circuit "modif[ied the Board's] remedy in some aspects." *See NLRB v. Sure-Tan, Inc.*, 672 F.2d 592, 603-06 (7th Cir. 1982). The court allowed Sure-Tan to remind the discriminatees in the reinstatement offer that without obtaining proper documentation they could not reenter the United States to

reclaim their jobs. *Id.* at 605-606. To reduce the appeal of illegal reentry, the court also modified the order "to require reinstatement only if the discriminatees are legally present and legally free to be employed in this country when they offer themselves for reinstatement." *Id.* at 606

Eliminating still another incentive for illegal reentry, the court added a clarification to the Board's backpay order, a clarification that forms the basis for the sentence at issue in this case: "[I]n computing backpay discriminatees will be deemed unavailable for work during any period when not lawfully entitled to be present and employed in the United States." *Id.* This limitation, which was based on the Board's standard practice of tolling backpay when discriminatees are physically unavailable, *see Local 512, Warehouse & Office Workers' Union v. NLRB*, 795 F.2d 705, 716 n.9 (9th Cir.1986) ("*Felbro*") (citing 3 NLRB Casehandling manual §§ 10,612, 10,656.9), including when out of the country, *see Hickory's Best, Inc.*, 267 N.L.R.B. 1274, 1277, 1983 WL 24897 (1983), ensured that illegal reentry would not restart the accumulation of backpay.

Though the Seventh Circuit believed that these restrictions were needed to prevent violations of the INA, it worried that in the circumstances of this case"—the *Sure-Tan* discriminatees had been out of the country since the company's violation—the restrictions might result in no backpay at all. *See Sure-Tan*, 672 F.2d at 606. To solve this problem and to "effectuate the policies of the [NLRA]," the court ordered the employer to pay the discriminatees backpay for an "obviously conjectural" six-month period. *Id.*

The Supreme Court began by emphasizing that neither party challenged the "not lawfully entitled" restriction on which Hoffman now relies. Sure-Tan had supported the restriction throughout, *Sure-Tan*, 467 U.S. at 898 n. 8, 104 S.Ct. 2803, and even the Board had come to accept it:

> Conditioning the offers of reinstatement on the employees' legal reentry and deeming the employees

> "unavailable" during any period when they were not lawfully present are requirements that were in fact imposed by the Court of Appeals in this case, and hence fully accepted by the Board.... The Board has clearly indicated its agreement with these portions of the Court of Appeals' remedial order by specifically noting that petitioners do not challenge these parts of the order [and] by limiting its own argument to the *minimum backpay award* issue alone.

Id. at 903 n. 12, 104 S.Ct. 2803 (emphasis added); *see also Del Rey Tortilleria, Inc. v. NLRB*, 976 F.2d 1115, 1123 (7th Cir. 1992) (Cudahy, J., dissenting). Turning its attention to that limited issue—the "minimum backpay award"—the Supreme Court held that the Seventh Circuit had not only "exceeded its narrow scope of review" by substituting its own judgment for that of the Board, but also erred by not sufficiently tailoring its remedy "to the actual, compensable injuries suffered by the discharged employees." *Sure-Tan*, 467 U.S. at 900, 901, 104 S.Ct. 2803. Although agreeing with the Seventh Circuit that these restrictions would mean that the Sure-Tan discriminatees would likely receive no backpay, *id.* at 903-04, 104 S.Ct. 2803, the Court cautioned that "the probable unavailability of the [NLRA's] more effective remedies in light of the practical workings of the immigration laws, however, simply cannot justify the judicial arrogation of remedial authority not fairly encompassed within the Act." *Id.* at 904, 104 S.Ct. 2803. In reaching this conclusion, the Court mentioned the "not lawfully entitled" restriction on backpay simply to explain the Seventh Circuit's motive for imposing a six-month minimum award. The additional sentence relied on by our dissenting colleagues, *see* Dissenting Op. at 651, adds no new restriction; it merely summarizes the Court's holding that backpay awards must be tailored to the discriminatees' individual circumstances as determined by the Board.

Not only does the sentence on which Hoffman relies thus form no part of *Sure-Tan*'s holding or reasoning, but contrary

to the company's claim, it presents no bar to awarding backpay to undocumented discriminatees. As we explained above, the Seventh Circuit crafted the restriction to ensure that the *Sure-Tan* discriminatees who had left the country would not reenter illegally to claim backpay. *See supra* at 653-54. In so interpreting the restriction, we rely not on the Seventh Circuit's intended meaning, *cf.* Dissenting Op. at 652-53, but rather on the Supreme Court's expression of precisely the same concern:

> [A]s the Court of Appeals recognized, the implementation of the Board's traditional remedies at the compliance proceedings must be conditioned upon the employees' *legal readmittance to the United States*. In devising remedies for unfair labor practices, the Board is obliged to take into account another equally important Congressional objectiv[e]—to wit, the objective of *deterring unauthorized immigration* that is embodied in the INA. By conditioning the offers of reinstatement on the employees' *legal reentry*, a potential conflict with the INA is thus avoided. Similarly, in computing backpay, the employees must be deemed "unavailable" for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States.

Id. at 902-03, 104 S.Ct. 2803 (internal quotation marks and citation omitted) (emphasis added).

It is true, as Hoffman points out, that the "not lawfully entitled to be present and employed" sweep more broadly than necessary to deter undocumented discriminatees from reentering the country illegally. But reading these words to impose an absolute bar to any award of backpay for undocumented discriminatees not only ignores the fact that the Seventh Circuit crafted the restriction to deal with the precise problem it faced—but also conflicts with "other language" (our words in *Aka*, 156 F.3d at 1291) making it clear that undocumented discriminatees are in fact entitled to backpay. Specifically, the Court "generally approve[d of] the

Board's original course of action in this case by which it ordered the conventional remedy of reinstatement and backpay, leaving calculation of the precise amount of backpay until the compliance proceeding. *Sure-Tan*, 467 U.S. at 902, 104 S.Ct. 2803. The "main deficiency' in the Seventh Circuit's order, the Court explained, was not that it awarded backpay to undocumented discriminatees, but that the *amount* of backpay awarded was "develop[ed] in the total absence of any record evidence as to the circumstances of individual employees," thus violating the "cardinal" proposition "that a backpay remedy must be sufficiently tailored to expunge only the *actual*, and not merely *speculative*, consequences of the unfair labor practices." *Id.* at 899-900 n. 9, 900, 104 S.Ct. 2803. The Court continued:

> [T]he Court of Appeals "estimated" an appropriate period of backpay without any evidence whatsoever as to the period of time these particular employees might have continued working before apprehension by the INS and without affording petitioners any opportunity to provide mitigating evidence. In the absence of relevant factual information or adequate analysis, it is inappropriate for us to conclude ... that the Court of Appeals had estimated the proper minimum backpay award "with a fair degree of precision."

Id. at 901-02 n. 11, 104 S.Ct. 2803. If, as Hoffman argues, undocumented discrimantees may never be awarded backpay, the Court would not have mentioned "the proper minimum backpay award" or "the period of time these particular employees might have continued working." Nor would there have been a need for more relevant factual information or adequate analysis," much less for a compliance proceeding to determine the amount of backpay actually due. According to the dissent, the compliance proceeding was intended only to determine whether the discriminatees had legally returned to the country. *See* Dissenting Op. at 653-54. The Supreme Court itself made clear, however, that such a hearing would determine "the period of time these particular employees might have continued working before apprehension by the INS." *See Sure-Tan*, 467 U.S. at 902 n. 11, 104 S.Ct. 2803.

Hoffman next argues that IRCA's subsequent adoption of employer penalties for knowingly hiring undocumented aliens extended the Sure-Tan sentence to all undocumented discriminatees, including those who, like Castro, never leave the country. According to Hoffman, Castro now falls squarely within the *Sure-Tan* sentence because he is no longer "legally entitled to be . . . employed." Had the sentence established a general rule of law, we might agree. As we demonstrate above, however, the sentence is neither general (it addressed only the unique factual situation in *Sure-Tan*), nor a rule (it played no part in either the Court's holding or reasoning). The Court, moreover, did not consistently describe the limitation in terms of employment eligibility. At one point, it referred to the sentence as conditioning backpay merely on "legal presence in this country"; elsewhere, it referred to being "lawfully present." *Id.* at 898 n. 8, 104 S.Ct. 2803; id, at 903 n. 12, 104 S.Ct. 2803.

Two of the three Circuits that have addressed this issue agree with our interpretation of *Sure-Tan*. In *A.P.R.A. Fuel*, the Second Circuit held that *Sure-Tan* bars awards on backpay only to undocumented discriminatees who were unavailable for work because they were outside the country and unable to lawfully reenter. *See A.P.R.A. Fuel*, 134 F.3d 50, 54-55 (2d Cir. 1997). Likewise, in *Felbro*, the Ninth Circuit stated:

> In *Sure-Tan*, the Supreme Court did not address the issue whether undocumented workers remaining at work in the United States throughout the backpay period are entitled to backpay awards. *Sure-Tan* barred from backpay only those undocumented workers who were unavailable for work in the backpay period because they were outside the United States without entry papers.

Felbro, 795 F.2d at 722. To be sure, in a later case also upholding an award of backpay to undocumented workers, the Ninth Circuit added a footnote speculating whether the

enactment of IRCA might "change [] the mix of policy considerations underlying the case law which supports our conclusion that undocumented employees may recover backpay." *EEOC v. Hacienda Hotel*, 881 F.2d 1504, 1517 n. 11 (9thCir.1989); *see also Rios v. Enterprise Ass'n Steamfitters*, 860 F.2d 1168, 1172 n. 2 (2d Cir.1988) (noting, in a footnote, the passage of IRCA, but "not decid[ing] the effect of this provision on future claims"). Yet the Ninth Circuit and its district courts have consistently reaffirmed that undocumented workers remain protected by labor and employment laws after IRCA and have continued to award them backpay. *See, e.g., NLRB v. Kolkka*, 170 F.3d 937 (9th Cir.1999); *Contreras v. Corinthian Vigor Ins. Brokerage, Inc.*, 25 F.Supp.2d 1053 (N.D.Cal.1998); *Escobar v. Baker*, 814 F.Supp. 1491, 1498 (W.D.Wash.1993); *EEOC v. Tortilleria "La Mejor,"* 758 F.Supp. 585 (E.D.Cal. 1991). Only the Seventh Circuit has interpreted *Sure-Tan* differently, though a strong dissent pointed out that the panel and the Supreme Court

> faced a significantly different scenario. In *Sure-Tan*, the aliens in question were not only undocumented, they were not in the country. They could not reenter for the purpose of taking up employment without breaking the law. This was the Court's concern in *Sure-Tan* (and the panel's concern before it).

Del Rey Tortilleria, 976 F.2d at 1123-24 (Cudahy, J., dissenting).

III

[3] Hoffman argues that even if *Sure-Tan* does not bar backpay to undocumented discriminatees, IRCA does. Yet nothing in IRCA direcely bars such an award. As Hoffman itself acknowledges, IRCA neither amends nor repeals the NLRA or any other labor law. IRCA's legislative history, moreover, shows that Congress did not intend the statute to limit the NLRA even indirectly. The House Judiciary

Committee Report stated that no provision of IRCA should

> be used to undermine or diminish in any way labor protections in existing law, or to limit the powers of federal or state labor relations boards, labor standards agencies, or labor arbitrators to remedy unfair practices committed against undocumented employees for exercising their rights before such agencies or for engaging in activities protected by existing law. In particular, the employer sanctions provisions are not intended to limit in any way the scope of the term "employee" in Section 2(3) of the [NLRA], as amended, or of the rights and protections stated in Sections 7 and 8 of that Act.

H.R. Rep. 99-682, pt. 1, at 58 (1986), U.S. Code Cong. & Admin. News at 5649, 5662. The Judiciary Committee relied on *Sure-Tan* to support its view that continued protection of undocumented workers under the NLRA is fully consistent with IRCA's goals:

> As the Supreme Court observed in *Sure-Tan*, application of the NLRA [to undocumented workers] "helps to assure that the wages and employment conditions of lawful residents are not adversely affected by the competition of illegal alien employees who are not subject to the standard terms of employment."

Id. (internal citation omitted). Echoing this view, the House Education and Labor Committee Report stated that no provision of the law should

> limit the powers of State or Federal labor standards agencies such as the Occupational Safety and Health Administration, the Wage and Hour Division of the Department of Labor, the Equal Employment Opportunity Commission, *the National Labor Relations Board*, or Labor arbitrators, in conformity with existing law, to remedy unfair practices committed against undocumented employees for exercising their rights

> before such agencies or for engaging in activities protected by these agencies. To do otherwise would be counter-productive of our intent to limit the hiring of undocumented employees and the depressing effect on working conditions caused by their employment.

H.R.Rep. No. 99-682, pt. 2, at 8-9 (1986), U.S. Code Cong. & Admin. News at 5757, 5758 (emphasis added).

[4,5] Absent a statutory bar to backpay for undocumented discriminatees, we turn to the alternative argument we understand Hoffman to be making: that the Boards' backpay award fails to accommodate IRCA's goal of limiting the hiring of undocumented workers. Two principles guide our consideration of this issue. First, while the Board's formulation of remedies for NLRA violations merits the highest level of deference, *see ABF Freight Sys., Inc. v. NLRB*, 510 U.S. 317, 324, 114 S.Ct. 835, 127 L.Ed.2d 152 (1994), its interpretation of IRCA warrants no deference at all. *See, e.g., New York Shipping Ass'n v. Federal Maritime Comm'n*, 854 F.2d 1338, 1365 (D.C.Cir.1988) (agency interpretation of a statute it does not administer is entitled to no deference). Second, in enforcing the NLRA, the Board may not

> ignore other and equally important Congressional objectives. Frequently the entire scope of Congressional purpose calls for careful accommodation of one statutory scheme to another, and it is not too much to demand of an administrative body that it undertake this accommodation without excessive emphasis upon its immediate task.

Southern Steamship Co. v. NLRB, 316 U.S. 31, 47, 62 S.Ct. 886, 86 L.Ed. 1246 (1942). If a conflict requires the Board "to accommodate the policies of another statutory regime within the framework of the legislation it administers,it "must fully enforce the requirements of its own statute, but must do so, insofar as possible, in a manner that minimizes the impact

of its actions on the policies of the other statute." *New York Shipping*, 854 F.2d at 1367.

> [A]n agency, faced with alternative methods of effectuating the policies of the statute it administers, (1) must engage in a careful analysis of the possible effects those alternative courses of action may have on the functioning and policies of other statutory regimes, with which a conflict is claimed; and (2) must explain why the action taken minimizes, to the extent possible, its intrusion into policies that are more properly the province of another agency or statutory regime. *Id.* at 1370.

The Board's first opportunity to consider whether and to what extent traditional NLRA remedies might require modification to account for IRCA's employer sanctions came in *A.P.R.A. Fuel*. *See* 320 N.L.R.B. 408. Beginning with *New York Shipping's* requirement that it "fully enforce the requirements of its own statute," 854 F.2d at 1367, the Board, citing *Sure-Tan*, explained why NLRA policy calls for backpay for undocumented discriminatatees. 320 N.L.R.B. at 414. Because "undocumented aliens are extremely reluctant to complain to the employer or to any of the agencies charged with enforcing workplace standards," they make easy targets for an employer's "unprincipled effort to stave off . . . union representation." *Id.* at 414. Employers resisting unions could simply fire undocumented workers who try to organize and then raise "the unlawful immigration status of their discharged employees in retaliation for protected activities"; employers might even "consider the penalties of IRCA a reasonable expense more than offset by the savings of employing undocumented workers or the perceived benefits of union avoidance." *Id.* at 415. The Board also found that denying backpay would harm the collective bargaining rights of authorized workers because "the continuous threat of replacement with powerless and desperate undocumented workers would certainly chill the American and authorized alien workers' exercise of their Section 7 rights." *Id.* at 414.

We recognize that there may be different views on the extent to which awarding backpay to undocumented discriminatees reduces employer incentives to violate the NLRA. It could be argued, for example, that employers would not likely risk criminal penalties for knowingly hiring undocumented workers simply to gain the increased leverage that would flow from reduced remedies for unfair labor practices. But even if this is true, employers who merely suspect their workers are undocumented will still have reason to test the boundaries of the NLRA. In the end, however, we need not resolve these policy questions, for it is the Board that possess expertise in this area and it is to the Board that we owe deference. *See New York Shipping*, 854 F.2d at 1364 (holding that courts must defer to an agency "interpretation of its own organic legislation" even where there are competing statutory schemes). Indeed, the very existence of competing views reinforces the need for reliance on the Board's experience.

We have the same reaction to Hoffman's argument that the Board lacked authority to award backpay here because "none of the 'parade of horribles'" the Board identified in *A.P.R.A. Fuel*—including employer exploitation of workers' undocumented status to chill union activity—"could have occurred in this case." In order to take advantage of undocumented workers, Hoffman claims, the employer must be aware of the undocumented status, and "[i]t is beyond dispute" the company did not "[know] that Castro was an undocumented alien" at the time of the unfair labor practice. *See* Supp. Br. for Pet'r at 14. According to the Board, however, denying undocumented workers remedies for retaliation would chill participation in union activities "regardless of whether the employer knew of the undocumented worker's immigration status." Supp. Br. for Resp. at 4. Hoffman provides no reason for believing that the Board's position on this issue represents an unreasonable interpretation of the NLRA.

Having explained its reasons for believing that NLRA policy requires remedies for undocumented discriminatees, the *A.P.R.A. Fuel* Board addressed its second *New York Shipping* obligation: the accommodation of immigration policy. It began by observing that the NLRA and IRCA share "virtually identical policy objectives with respect to the American workplace .... [W]e believe that we can best achieve this mutuality of purpose and effect by vigorously enforcing the NLRA, including providing traditional Board remedies, with respect to all employees, to the extent that such enforcement does not require or encourage unlawful conduct by either employers or individuals." *A.P.R.A. Fuel*, 320 N.L.R.B. at 411. As the Board noted, *Sure-Tan* itself recognized that preserving N.L.R.A. protection

> eliminates the distinct economic advantage and thus the incentive to employers of hiring illegal aliens in preference to American citizens or alien employees working lawfully. A reduction in the availability of jobs to undocumented aliens, the Court found, would in turn discourage many aliens from entering the United States illegally.

Id. at 412. Citing the legislative history of IRCA quoted above, the Board observed that a similar concern explained Congress' insistence that the Act not "be used to undermine or diminish in any way labor protections in existing law." *Id.* at 413 (quoting H.R. Rep. 99-682, pt. 1, at 58, U.S. Code Cong. & Admin. News at 5662); *see also A.P.R.A. Fuel*, 134 F.3d at 56.

The Board then applied these NLRA and IRCA policies to formulate a remedy for the specific unfair labor practices it had found. To accomplish the NLRA's purposes, the Board ordered reinstatement with backpay. But in order to avoid conflict with IRCA's prohibition on knowingly hiring undocumented aliens, it conditioned reinstatement on the discriminatees; production of proper documents. *A.P.R.A. Fuel*, 320 N.L.R.B. at 415. It also ordered a limited period of

backpay to give the discriminatees the opportunity to obtain this documentation.

In crafting a remedy for Castro, the Board relied on *A.P.R.A. Fuel*'s accommodation of NLRA and IRCA policies, adding an additional limit to the remedy to account for the fact that unlike A.P.R.A. Fuel, Hoffman had no knowledge of Castro's illegal status when it hired him. Applying its after-acquired evidence rule, the Board relieved Hoffman of its reinstatement obligation altogether and cut off backpay at the moment Castro's status was discovered. *Hoffman Plastic*, 314 N.L.R.B. at 685-86. Rather than "pay[ing] Castro for doing nothing," Dissenting Op. at 651, the NLRB backpay award compensates him for lost work "in aid of the Board's authority to restrain violations" that harm *all* workers, *see Consolidated Edison Co. v. NLRB*, 305 U.S. 197, 220, 59 S.Ct. 206, 83 L.Ed. 126 (1938)—and even that award was limited in recognition of Castro's undocumented status. Because the Board had no need to adopt *A.P.R.A. Fuel*'s other remedy—the award of backpay while the discriminatees attempted to obtain documentation—the propriety of such an award is not before us.

Hoffman argues that the Board should have gone further and denied Castro backpay altogether. As it points out, IRCA criminalizes the false use of documents to obtain employment. Yet the Board has long held that employee misconduct does not completely immunize employers from their backpay obligations, even when the discriminatees would not have been hired but for their own wrongful conduct. Cf. Dissenting Op. at 651. In *John Cuneo*, for example, the discriminatee falsified his job application. 298 N.L.R.B. 856, 1990 WL 122500 (1990). Instead of denying backpay altogether, as the employer had urged, the Board limited backpay to the period between the illegal discharge and the moment the employer learned of the employee's falsification. In doing so, the Board applied the after-acquired evidence rule to "balance [its] responsibility to remedy the Respondent's unfair labor practice against the public interest

in not condoning [the employee's] falsification of his employment application." *Id.* at 856. The Supreme Court has itself used the after-acquired evidence rule as a means of "deter[ring]" labor law violations and "compensat[ing]" discriminatees, without disregarding the "prerogatives" of employers. *See McKennon v. Nashville Banner Publishing Company*, 513 U.S. 352, 362, 115 S.Ct. 879, 130 L.Ed.2d 852 (1995)

Even where, as here, the discriminatee violates the law, the Supreme Court has refused to require the Board to deny all backpay. In *ABF Freight System v. NLRB*, 510 U.S. 317, 114 S.Ct. 835, 127 L.Ed.2d 152 (1994), the discriminatee perjured himself during the compliance proceeding—an act which, like Castro's fraudulent conduct, violated federal criminal law, *see* 18 U.S.C. § 1621, *cited in ABF Freight*, 510 U.S. at 328-29, 114 S.Ct. 835. Although declaring that "[f]alse testimony in a formal proceeding is intolerable," and that "perjury should be severely sanctioned," *id.* At 323, 114 S.Ct. 835, the Court rejected the company's argument that such behavior should preclude the employee from receiving backpay:

> [The company's] contention, though not inconsistent with our appraisal of [the employee's] misconduct, raises countervailing concerns. Most important is Congress' decision to delegate to the Board the primary responsibility for making remedial decisions that best effectuate the policies of the Act when it has substantiated an unfair labor practice.

Id. at 323-24, 114 S.Ct. 835. Writing separately to emphasize that the Board's failure to adopt an unclean hands policy "undermines and dishonors the courts," *id.* at 326, 114 S.Ct. 835, two concurring Justices nevertheless agreed that the Board acted within its remedial discretion. *Id.* at 326, 114 S.Ct. 835 (Kennedy, J., concurring), at 329, 114 S.Ct. 835 (Scalia, J., concurring in judgment).

Attempting to distinguish *ABF Freight*, the dissent says that unlike the perjury statute, IRCA forbade Castro "from obtaining a job." Dissenting Op. at 657 n.2. This misreads IRCA. The statute makes it unlawful for employers to knowingly hire undocumented aliens, 8 U.S.C. § 1324(a)(3). IRCA dies not explicitly make it unlawful for undocumented aliens to work. True, Castro could have been prosecuted for his fraud, but there was nothing illegal about his actual employment. So when the Board ordered limited backpay, it was not compensating Castro for the loss of wages IRCA prohibited him from earning. No matter how much Hoffman may deplore Castro's conduct, *ABF Freight* stands for the proposition that balancing Castro's misconduct against Hoffman's is the Board's responsibility, not ours. Had the Board ruled that Castro's Behavior disqualified him from any backpay, we would have deferred to that decision as well. "Most important," said *ABF Freight*, and most important here, "is Congress' decision to delegate to the Board the primary responsibility for making remedial decisions that best effectuate the policies of the Act when it has substantiated an unfair labor practice." 510 U.S. at 323-24, 114 S.Ct. 835.

Hoffman argues that the Board's accommodation of IRCA fails for another reason: the remedy gives undocumented discriminatees an incentive to remain in the country to continue accumulating backpay. It could also be argued that by making U.S. jobs more attractive, awarding backpay to undocumented discriminatees actually encourages illegal immigration. Even if this is so, of course, the Board's providing a purely compensatory remedy for unfair labor practices could not make illegal immigration more attractive than it would be if employers never committed unfair labor practices. Our job, however, is not to resolve, or as the dissent puts it, to "mediate" such issues, Dissenting Op. at 656-57. So long as the Board neither misinterprets IRCA, see *New York Shipping*, 854 F.2d at 1365, "ignore[s]" the statute's policies, nor places "excessive emphasis" on the NLRA, *Southern Steamship*, 316 U.S. at 47, 62 S.Ct. 886, we

will not upset its precise accommodation of the statutory schemes.

In sum, the NLRB has fully satisfied *its New York Shipping* obligation. The Board crafted the limited backpay remedy to avoid conflict with IRCA and to implement its understanding of the purposes of both IRCA and the NLRA. According to the Board, the limited backpay award reduces employer incentives to prefer undocumented workers (IRCA's goal), reinforces collective bargaining rights for all workers (the NLRA's goal), and protects wages and working conditions for authorized workers (the goal of both Acts). Far from "ignor[ing] other and equally important Congressional objectives," *Southern Steamship*, 316 U.S. at 47, 62 S.Ct. 886, the Board, fully enforcing its own statute, carefully considered IRCA and modified its traditional backpay remedy accordingly. If, as Hoffman believes, undocumented discriminatees should receive no backpay at all, its remedy lies in Congress not this court.

IV

[6] Hoffman's final argument requires little discussion. The company claims that "[b]y awarding undocumented aliens backpay without any consideration regarding whether these individuals can mitigate their damages, the Board treats illegal aliens more favorably than documented workers and, by doing so, the Board violates the equal protection clause of the Fifth Amendment to the United States Constitution." Brief for Pet'r at 33. Not only does Hoffman lack standing to assert equal protection rights of third parties, *see, e.g., Powers v. Ohio*, 499 U.S. 400, 410-16, 111 S.Ct. 1364, 113 L.Ed.2d 411 (1991), but it points to no evidence that the Board applies a different mitigation standard to undocumented discriminatees. In any event, the Board found that Castro both sought and obtained interim employment, thus fulfilling his duty to mitigate. The Board subtracted Castro's interim earnings of almost $4,000 from his backpay award.

Finally, we think it worth pointing out that Hoffman itself could have mitigated its backpay liability either by making Castro a bona fide reinstatement offer—although it did offer to rehire him, the Board found the offer inadequate—or by complying promptly with the Board's reinstatement order issued before Castro's undocumented status became known. *See Hoffman Plastic*, 1998 WL 663933, at *2, *5. INS regulations promulgated pursuant to IRCA expressly permit reinstatement after unlawful discharge without requiring the employer to reverify the employee's documents. 8 C.F.R. § 274a.2(b)(viii)(A)(5).

V

The petition for review is denied and the cross-application for enforcement is granted.

So ordered.

SENTELLE, Circuit Judge, dissenting, with whom HENDERSON and RANDOLPH, Circuit Judges, join, and GINSBURG, Circuit Judge, joins in part:

In May of 1988, an undocumented alien having illegally entered the United States compounded his illegality when he fraudulently used the name and birth certificate of Jose Castro to obtain employment in the production plant of Hoffman Plastic. On January 31, 1989, the company laid off a number of employees supportive of a union organizing effort, including the employee who had falsely and illegally represented himself to be Jose Castro. Thereafter, an administrative law judge, following an evidentiary hearing, found that Hoffman had engaged in unfair labor practices including the discriminatory selection of union adherents in the layoffs which included the illegal alien known as Castro.

After the disclosure of the undocumented worker's illegal status and his fraudulent use of the birth certificate, the administrative law judge recommended neither reinstatement nor backpay. *Hoffman Plastic Compounds, Inc.*, 314 N.L.R.B. 683, 1994 WL 397901 (1994). Upon review, the

Board agreed with the ALJ that reinstatement of an undocumented alien was beyond its authority, but ordered backpay from the time of the discriminatory discharge until the revelation of Castro's undocumented status. *Hoffman Plastic Compounds, Inc.*, 326 N.L.R.B. 86, 1998 WL 663933 at *2-4. I would reverse the Board and restore the ALJ's recommended result.

As it would be unlawful for Hoffman to employ the illegal and pay him earned wages, it defies the logic of the Immigration Reform and Control Act of 1986 ("IRCA") that the employer could be compelled by law to pay to the illegal unearned wages which he could not lawfully earn and to which he would have no claim but for his prior successful fraud. If this were a case of first impression I would find it simple. I would hold that by no theory of law or equity could the federal government compel an employer to employ an illegal alien to do nothing and pay him for doing nothing when it could not lawfully employ him to work and pay him for working. But this is not a case of first impression. The Supreme Court has offered clear guidance which makes the case an even easier one.

Analysis

In *Sure-Tan, Inc. v. NLRB*, 467 U.S. 883, 104 S.Ct. 2803, 81 L.Ed.2d 732 (1984), the Supreme Court reviewed a Seventh Circuit decision which had modified an NLRB order applying the National Labor Relations Act ("NLRA") to unfair labor practices committed against undocumented aliens, *see NLRB v. Sure-Tan, Inc.*, 672 F.2d 592 (7th Cir. 1982). The High Court concluded that the Circuit was correct in upholding the Board's position "that undocumented aliens are 'employees' within the meaning of [29 U.S.C. § 152(3)]." *Sure-Tan*, 467 U.S. at 891, 104 S.Ct. 2803 (quoting *NLRB v. Hearst Publications, Inc.*, 322 U.S. 111, 130, 64 S.Ct. 851, 88 L.Ed. 1170 (1944)); *cf. Chevron U.S.A. Inc. v. NRDC*, 467 U.S. 837, 842-45, 104 S.Ct. 2778, 81 L.Ed.2d 694 (1984).

That said, the Supreme Court nonetheless vacated the remedial portion of the Seventh Circuit decision, which had ordered the Board to award an irreducible minimum of six months backpay to each of the affected employees in the face of the employees' illegal entry and presence in the United States. In vacating that portion of the Seventh Circuit decision, the Supreme Court held, "[b]y directing the Board to impose a minimum backpay award without regard to the employees' actual economic losses *or legal availability for work*, the Court of Appeals plainly exceeded its limited authority under the Act." *Sure-Tan*, 467 U.S. at 904-05, 104 S.Ct. 2803 (emphasis added). Based on that italicized phrase, even if this were all the Supreme Court had held on the question, I would conclude that Sure-Tan counsels us to vacate the Board's decision overruling the logical result reached by the administrative law judge. But, the Supreme Court did not stop there.

The Supreme Court explicitly rejected the position taken by the NLRB and the majority in today's decision when it held, "[s]imilarly, in computing backpay, the employees must be deemed 'unavailable' for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States." *Id.* at 903, 104 S.Ct. 2803. Thus, the Supreme Court very clearly directed the appropriate response to the issue before the Board in the present case and did so directly opposite the disposition reached by the Board.

Read in context, the sentence speaks even more plainly:

> Nonetheless, as the court of Appeals recognized, the implementation of the Board's traditional remedies at the compliance proceedings must be conditioned upon the employees' legal readmittance to the United States. In devising remedies for unfair labor practices, the Board is obliged to take into account another equally important Congressional objective—to wit, the objective of deterring unauthorized immigration that is embodied in the INA [Immigration and Nationality Act]. By

> conditioning the offers of reinstatement on the employees' legal reentry, a potential conflict with the INA is thus avoided. *Similarly, in computing backpay, the employees must be deemed "unavailable" for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States.*

Id. at 902-03, 104 S.Ct. 2803 (emphasis added) (internal quotation marks and citation omitted). The Supreme Court in a rather concise paragraph makes it plain that it is dealing with the possibility of affording a backpay remedy to illegal aliens. It further makes it plain that such a remedy is not an option when the employees are "deemed unavailable" for work and that such a period of deemed unavailability occurs "during any period when they were not lawfully entitled to be present and employed in the United States."

Thus, the Supreme Court has definitively answered the question before us. Castro was not lawfully entitled to be present and employed in the United States. "[E]mployees must be deemed 'unavailable' for work (and the accrual of backpay therefore tolled)" when they are so situated. Therefore, the award of backpay to Castro for that period must be vacated. The majority advances a complex of theories for avoiding what seems to be the plain import of the Supreme Court's language in *Sure-Tan*. It starts by asserting that "the Seventh Circuit crafted the restriction to deal with the precise problem it faced,: that is, "undocumented discriminatees ... returning to the country illegally to claim their backpay." Maj. Op. At 644. This analysis fails for two reasons. First, we are not controlled by the origin of the instructive sentence in the Seventh Circuit. The Supreme Court's context is the governing context without regard to the original coinage of the sentence.. *Cf. Anderson v. City of Bessemer City*, 470 U.S. 564, 572-73, 105 S.Ct. 1504, 84 L.Ed.2d 518 (1995) (explaining that a district judge's findings of fact and conclusions of that court despite the fact they are drawn from the submissions of the parties). More

importantly, the Supreme Court's statement and its context give no indication that it meant other than what it said: not simply that there is some sort of unique bar applicable to illegal immigrants who have left the country and might unlawfully return, but that the same bar extends to all not lawfully entitled to be present and employed in the United States.

Expanding on its first attempt at distinction, the majority opines that when the Supreme Court "generally approve[d] [of] the Board's original course of action in this case by which it ordered the conventional remedy of reinstatement and backpay" it somehow had created other language inconsistent with the broad effect of the Court's language in the disputed sentence. Maj. Op at 644. The majority then relies on the principle drawn from our decision in *Aka v. Washington Hospital Center*, 156 F.3d 1284, 1291 (D.C.Cir.1998) (en banc), that the Supreme "Court's every word and sentence cannot be read in a vacuum; its pronouncements must be read in light of the holding of the case and to the degree possible, so as to be consistent with the Court's apparent intent and with *other language* in the same opinion." (Emphasis supplied.) I have no quarrel with the principle, I simply do not agree that its application in this case compels the result reached by the majority. Indeed, I think it cuts to the contrary. The Language from the *Sure-Tan* decision cited by the majority blesses in general terms the remedies of reinstatement and backpay. It no more compels us to uphold a backpay award to an employee than it compels us to uphold illegal reinstatement of the same employee.

I suggest that the most important "other words" of the Supreme Court are those immediately preceding the sentence of contention. Those I have quoted above. That is, that "[i]n devising remedies for unfair labor practices, the Board is obliged to take into account ... 'the objective of deterring unauthorized immigration that is embodied in the INA." As the Supreme Court makes plain, there is no inherent conflict between the labor statute and the INA. The conflict arises

only if the Board imposes remedies inconsistent with the immigration law. That is, the conflict arises not between two statutes, but between the remedial preferences of an administrative board and the higher authority of statutory enactment. In fact, in the following paragraph, the Supreme Court took care to note the "probable unavailability" of backpay "in light of the practical workings of the immigration laws." *Sure-Tan*, 467 U.S. at 904, 104 S.Ct. 2803. Following this "other language" of the Supreme Court, we should reach no other conclusion than the reversal of what the Board has done in the present case.

The majority further attempts to define the qualifying language away from its apparent meaning by extracting from a footnote the Supreme Court's observation that "the order's main deficiency" was that it "was 'develop[ed] in the total absence of any record evidence as to the circumstances of the individual employees.'" Maj. Op. At 644 (quoting *Sure-Tan*, 467 U.S. at 900 n. 9, 104 S.Ct. 2803). Far from supporting the majority's proposition, that language of the Supreme Court in context actually supports the application of the eligibility language by its terms. In footnote9, the Supreme Court is discussing the assertion of a dissenter that its review should be conducted deferentially, as if the Board rather than the Court of Appeals had developed the remedial order. Footnote 9 rejects that proposition as not going to the defect in the order. The language concerning the "total absence of any record evidence" is wholly consistent with the proposition that if the circumstances of an employee are that he was not lawfully eligible to be present and employed in the United States, then he does not receive a backpay recovery. Indeed, it is difficult to see what else the Supreme could have been referring to.

Today's majority opinion reads *Sure-Tan* as holding that the fired employees were entitled to backpay because it ordered a compliance proceeding "to determine the amount of backpay actually due." Maj. Op. At 645. This assertion misconstrues the posture of the case and the Court's holding.

Prior to the Court's decision in *Sure-Tan*, nobody had offered any evidence concerning what happened to the employees after they were deported. There was no question that the employees left the United States, but there was no way to know whether they had legally returned during the appropriate backpay period. As the original NLRB opinion explained, "[T]here is no evidence in the record that they have not returned to the United States. The appropriate forum for determining issues relating to their availability for work is a compliance proceeding." *Sure-Tan, Inc.*, 234 N.L.R.B. 1187, 1187 (1978), *reh'rg denied, NLRB v. Sure-Tan, Inc.*, 677 F.2d 584 (7th Cir.1982), *aff'd in part, rev'd in part*, 467 U.S. 883, 104 S.Ct. 2803, 81 L.Ed.2d 732 (1984). Accordingly, the Supreme Court ordered that the case be remanded for the NLRB to determine "whether any of the discharged employees will be able ... to establish at the compliance proceedings that they were lawfully available for employment during the backpay period." *Sure-Tan*, 467 U.S. at 904, 104 S.Ct. 2803. As the Court explained, "these compliance proceedings provide the appropriate forum where the Board and petitioners will be able to offer concrete evidence as to the amounts of backpay, if any, to which the discharged employees are individually entitled." *Id.* At 901, 104 S.Ct. 2903 (emphasis added).

The majority's interpretation is inconsistent with the Sure-Tan Court's instruction and holding. The Court acknowledged that the employees could be eligible for a backpay remedy, but it stressed that when computing their actual backpay awards, "the employees must be deemed 'unavailable' for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be eligible for some backpay, but only if (and only for periods in which) they could prove that they were legally eligible to work in the United States.[1] Unlike in Sure-Tan, in

[1] The majority's assertion that the Supreme Court "made clear ... that [a compliance] hearing would determine 'the period of time theses particular employees might have continued working before apprehension by the INS'" Maj. Op. at 644-45 (quoting, *Sure-Tan*, 467 U.S. at 902, 104 S.Ct. 2803), is founded on a quotation uprooted from all context. The Supreme Court phrase encompassed in the majority's text comes from footnote 11 and was not in a discussion of what a future compliance hearing would have determined, but rather a descriptive passage setting forth what had transpired before the Supreme Court's review. It was specifically offered to rebut the conclusion of dissenting Justice Brennan "that the Court of Appeals had estimated the proper minimum backpay award with a fair degree of precision." *Id.* (quoting *Sure-Tan*, 467 U.S. at 909, 104 S.Ct. 2803) (internal quotes imitted).

Hoffman's case there is no factual question—Castro was lawfully unavailable throughout the backpay period and, thus, consistent with the Court's instruction in *Sure-Tan*, not entitled to receive any backpay.

Finally, the majority argues that "the sentence ... form[s] no part of *Sure-Tan*'s holding...." Maj. Op. at 644. I take this as being a tactful way of saying: "all right, the Supreme Court said it, but it's just *dicta*, we don't have to go by it." I find that singularly unimpressive. As we have observed in the past, "because 'carefully considered language of the Supreme Court, even if technically *dictum*, generally must be treated as authoritative,' this court cannot ignore the unmistakable import of [a Supreme Court decision's] analysis." *United States v. Oakar*, 111 F.3d 146, 153 (D.C.Cir.1997) (citations omitted). Or, as we have elsewhere stated, "Supreme Court dicta tends to have somewhat greater force—particularly when expressed so unequivocally." *Bangor Hydro-Electric Co. v. FERC*, 78 F.3d 659, 662 (D.C.Cir.1996.

In a different context, prior dissenters to an en banc decision once lamented that the majority had discarded Supreme Court language "as mere 'dicta,'" saying, "In our view it is quite presumptuous for members of an inferior court to dismiss a decision of the Supreme Court in so cavalier a manner." Hubbard v. Administrator, EPA, 982 F.2d 531, 540 (D.C.Cir.1992) (en banc) (Edwards, J., dissenting). Just so here. The Supreme Court has told us that "employees must be

deemed unavailable for work and the accrual of backpay tolled during any period when they were not lawfully entitled to be present and employed in the United States." Indeed, this statement is more than dicta—rather, it was an unequivocal instruction for the Board to follow in its compliance proceeding on remand. I would not dismiss the Supreme Court's instruction in so cavalier a manner as does the majority.

In the end, I submit the Supreme Court has mad clear the state of laws: "employees must be deemed 'unavailable' for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States." Read in context, read out of context, or read both ways and compared, the majority is left with no way of dealing with the High Court's plain statement. I invite the reader to review the phrase "not lawfully entitled to be present and employed" in its original context. I further suggest that contextual illumination for this sentence of the High Court's opinion is supplied in the Court's analysis of the Seventh Circuit decision that it was reversing. The High Court described that decision as "[r]ecognizing that the discharged employees would most likely not have been lawfully available for employment and *so would receive no backpay award at all*...." *Sure-Tan*, 467 U.S. at 890, 104 S.Ct. 2803 (emphasis added). Thus, the governing factor in determining eligibility for backpay awards is not mere presence, but also the lawful entitlement to be present and to be employed.

The majority's construction of the phrase "not lawfully entitled to be present and employed in the United States" is tantamount to rewriting it to read "not present, and not lawfully entitled to be present, in the United States." In effect, it adds the "not present" limitation and deletes the "not lawfully entitled to be...employed" requirement. That rewriting of *Sure-Tan* leads the majority astray.

The erroneous construction of Sure-Tan endorsed by the majority appears to have first occurred in Bevles Co. v.

Teamsters Local 986, 791 F.2d 1391, 1393 (9th Cir. 1986). Before that time, even its critics believed that Sure-Tan meant what it said. *See Sure-Tan*, 467 U.S. at 911, 104 S.Ct. 2803 (Brennan, J., dissenting) (criticizing the majority for holding that undocumented aliens in Felbro, who had remained in the country, would be affected by Sure-Tan); Local 512, Warehouse & Office Workers' Union v. NLRB, 795 F.2d at 705, 725 (9th Cir.1986) ("Felbro") (Beezer, J., dissenting in part); Terry A. Bethel, Recent Labor Law Decisions of the Supreme Court, 45 MD L.REV. 179, 196 (1986) ("Sure-Tan...deprive[s] undocumented employees of any effective remedy for unlawful discrimination...."); Lucinda M. Cardinal, Note, *Immigration Reform: Solving the "Problem" of the Illegal Alien in the American Workforce*, 7 CARDOZO L.REV. 223, 224 (1985) ("*Sure-Tan* mandates that illegal aliens do not receive the remedies granted their legal coworkers."); John W. Sagaser, Note, *Rights Without a Remedy—Illegal Aliens Under the National Labor Relations Act*, 27 B.C. L.REV. 407, 452 (1986) ("By denying a minimum backpay award, the Court in effect deprives illegal alien workers of any remedy."). In *Belves*, the Ninth Circuit was reviewing an arbitrator's award; the issue was whether the arbitrator's decision showed a "manifest disregard of the law," and the court was not entitled to reverse simply erroneous legal conclusions. See 791 F.2d at 1392-93 & n.2. In not following *Sure-Tan*, the court ignored the lawful presence requirement and considered whether the aliens in that case were lawfully entitled to be employed. The Bevles court relied on the fact that—prior to the passage of IRCA—it was not a criminal act for employers to hire undocumented aliens. *See id.* at 1393. The court also considered the effect of section 2805 of the California Labor Code, which prohibited employers from knowingly employing undocumented aliens if it would affect lawful workers. Because an unreversed state court decision had previously held section 2805 unconstitutional, the court did not fault the arbitrator for disregarding it. *See id*, at 1393-94.

The focus on the lawful right to grant employment continued in *Felbro*. The Ninth Circuit there again relied on the fact that it was not illegal for an employer to hire undocumented aliens. Because the Sure-Tan employees could not lawfully reenter the United States, the court noted that they were "unavailable for work during the backpay period." Felbro, 795 F.2d at 719. The court reasoned that being illegally present in the United States did not create unavailability because "[t]here is no provision 'in the INA making it unlawful for an employer to hire an alien who is present or working in the United States without appropriate authorization.'" *Id.* (quoting *Sure-Tan*, 467 U.S. at 892-93, 104 S.Ct. 2803).

Since the passage of IRCA, both the Second and the Ninth Circuits have registered concern over IRCA's effect on their misguided attempts to limit Sure-Tan.In Rios v. Enterprise Ass'n Steamfitters Local Union 638, 860 F.2d 1168 (2d Cir. 1988), the Second Circuit was careful to explain that recovery was only permissible because the claimants were "available for employment during the entire period covered by the backpay order, since such employment would have violated no immigration law." *Id.* at 1173. The court explicitly reserved the question of whether IRCA would affect later claims. *See id.* at 1172 n. 2. The Ninth Circuit likewise has questioned the viability of its *Felbro* decision after IRCA. *See EEOC v. Hacienda Hotel*, 881 F.2d 1504, 1517-18 n. 11 (9th Cir.1989). In a further Second Circuit case postdating the enactment of IRCA, that circuit continued to follow its pre-enactment precedent. *See NLRB v. A.P.R.A. Fuel Oil Buyers Group, Inc.*, 134 F.3d 50 (2d Cir.1997). However, as Judge Jacobs clearly demonstrated on dissent, without the slender reed of the employer's legal capacity to hire undocumented aliens, "an undocumented alien is not '*lawfully* available for employment.'" *Id.* at 62 (Jacobs, J., dissenting) (quoting *Sure-Tan* and IRCA." *Id.*

Like the Second Circuit in *A.P.R.A. Fuel*, the majority today offers nothing that should lead us to believe that the

Supreme Court in *Sure-Tan* meant anything other than what it said; and what it said disqualifies the illegal alien in this case from an award of backpay.

In Sure-Tan the Court emphasized, "[W]e remain bound to respect the directives of the INA as well as the NLRA and to guard against judicial distortion of the statutory limits placed by Congress on the Board's remedial authority." Sure-Tan, 467 U.S. at 904 n. 13, 104 S.Ct. 2803. Likewise, we are bound by the statutory directives of IRCA. Those directives prohibit employers from hiring illegal aliens, see 8 U.S.C. § 1324a(a)(1)-(2), (e), (f), and make it a crime for illegal aliens to obtain employment using "an identification document knowing (or having reason to know) that the document was not issued lawfully for the use of the possessor, [or] . . . that the document is false," 18 U.S.C. § 1546(b); see also 8 U.S.C. § 1324a(b)(c)(ii) (1988). The majority opinion essentially ignores these directives, instead pointing out that "employee misconduct" and an employee's providing a "false excuse for tardiness" while under oath, ABF Freight Sys., Inc. v. NLRB, 510 U.S. 317, 324, 114 S.Ct. 835, 127 L.Ed.2d 152 (1994), do not necessarily bar backpay awards. These points are inapposite–in this case, federal statutes clearly prohibited Castro from even obtaining a job.[2]

Instead of confronting these statutes directly, the majority chooses to mediate between statutory "goals." This Court's divination of what were the legislature's goals should never be allowed to trump what the legislature actually said. And what the legislature actually said is clear. Despite what this Court's policy preferences may be, those preferences "cannot justify the judicial arrogation of remedial authority not fairly encompassed within the [NLRA]" as interpreted by

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[2] This distinguishes the circumstance before us from that in ABF Freight Sys., Inc. v. NLRB, 510 U.S. 317, 114 S.Ct. 835, 127 L.ed.2d 152 (1994), relied upon by the majority. See Maj. Op. at 649. The perjury statute provides for criminal sanctions; it does not forbid a present or potential perjurer from obtaining a job.

the Supreme Court in *Sure-Tan*, 467 U.S. at 904, 104 S.Ct. 2803.

Conclusion

The majority discusses at length the incentives and counter-incentives of backpay awards to illegal aliens from employers who could not legally employ them. While I do not think that law-and-economics analysis to be controlling or particularly helpful in this case, I would observe that it seems at least passing strange to think that Congress would outlaw the making of a particular type of contract between two types of individuals (United States employers and undocumented aliens) and then expect the courts to impose remedies that compel one of the parties to the disfavored contract to pay money to the other. I cannot see how those incentives could be much other than a complete wash.

For reasons set forth above, I respectfully dissent.

GINSBURG, Circuit Judge, dissenting;

I join Judge Sentelle's dissent insofar as he demonstrates that in Sure-Tan, Inc. v. NLRB, 467 U.S. 883, 104 S.Ct. 2803, 81 L.Ed.2d 782 (1984), "the Supreme Court has definitively answered the question before us." Dissent at 652. The court before us." Dissent at 652. The court today simply cannot convincingly evade the High Court's clear statement that "in computing backpay, the employees must be deemed 'unavailable' for work (and the accrual of back pay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States." 467 U.S. at 903, 104 S.Ct. 2803.

Because I believe that Sure-Tan is controlling, I do not think it necessary to reach the question whether the Board reasonably reconciled the remedial scheme of the NLRA with the policies embodied in the IRCA.

United States Court of Appeals

FOR THE DISTRICT OF COLUMBIA CIRCUIT

Argued October 13, 1999 Decided March 17, 2000

No. 98-1570

HOFFMAN PLASTIC COMPOUNDS, INC.
Petitioner,

v.

National Labor Relations Board,
Respondent.

On Petition for Review and Cross-Application
for Enforcement of an Order
of the National Labor Relations Board

Maurice Baskin argued the cause and filed the briefs for petitioner.

Sharon Block, Attorney, National Labor Relations Board, argued the cause for respondent. With her on the brief were *Linda Sher*, Associate General Counsel, *Aileen A Armstrong*, Deputy Associate General Counsel, and *Fred L. Cornell*, Attorney. *John D. Burgoyne*, Deputy Associate General Counsel, entered an appearance.

Marsha S. Berzon argued the cause for amicus curiae American Federation of Labor and Congress of Industrial Organizations. With her on the brief were *Jonathan P. Hiatt* and *Janws B. Coppess*.

Before: ROGERS and TATEL, *Circuit Judges*.

Opinion for the Court filed by *Circuit Judge* TATEL

Dissenting opinion filed by *Circuit Judge* SENTELLE

TATEL *Circuit Judge:* Petitioner illegally fired several workers in retaliation for attempting to organize a union. Finding multiple unfair labor practices, the National Labor Relations Board ordered its traditional remedy, reinstatement with backpay, for all discharged employees. When the Board learned that one of these employees was an undocumented alien, it denied him reinstatement and terminated his backpay as of the date the employer discovered he was unauthorized to work. Challenging even this reduced award, the employer claims that awarding any backpay to undocumented workers conflicts with immigration law. Because the Supreme Court has held that undocumented workers are protected by the National Labor Relations Act, and because the limited remedy awarded here is within the Board's discretion and furthers the purposes of both labor and immigration law, we deny the petition for review and grant the cross-application for enforcement.

I

This case lies at the intersection of two statutory schemes: labor and immigration. Enacted in 1935, the National Labor Relations Act encourages collective bargaining, promotes industrial peace, and protects workers' rights of association, self-organization, and representation. *See, e.g., Phelps Dodge Corp. v. NLRB*, 313 U.S. 177, 182-85 (1941). The statute vests the NLRB with broad discretion to enforce the Act and to remedy unfair labor practices. See 29 U.S.C. § 160(c). Not limited to "the correction of private injuries" or the "adjudication of private rights," the Board "acts in a public capacity to give effect to the declared public policy of the Act." *Phelps Dodge*, 313 U.S. at 192-93. "Making the workers whole for losses suffered on account of an unfair labor practice is part of the vindication of the public policy which the Board enforces." *Id.* at 197. Awards of backpay not only make disciminatees whole, but "also

achieve a public purpose by deterring future similar unlawful practices, and by depriving employers of any competitive advantage they may have secured by acting unlawfully." *Local 512, Warehouse and Office Workers' Union v. NLRB*, 795 F.2d 705, 718 (9th Cir. 1986) *("Felbro")*.

Like the NLRA, the nation's immigration laws preserve jobs and safeguard American workers' wages and employment conditions. *See INS v. National Ctr. for Immigrants' Rights*, 502 U.S. 183, 194 & n.8 (1991); *Sure-Tan Inc., v. NLRB*, 467 U.S. 883, 893 (1984). Until 1986, the Immigration and Nationality Act was primarily concerned "with the terms and conditions of admission to the country and the subsequent treatment of aliens lawfully in the country." *Sure-Tan*, 467 U.S. at 892 (quoting *DeCanas v. Bica*, 424 U.S. 351, 359 (1976)). The Immigration Reform and Control Act of 1986 focused new immigration control efforts on employers. The Act makes it unlawful to employ anyone *known* to be an unauthorized alien, requires employers to verify and document the work eligibility of new hires, and authorizes sanctions against employers who violate the Act. *See* 8 U.S.C. § 1324a.

The NLRB and the courts have sought to ensure that labor and immigration laws operate in tandem. They have held that all employees, regardless of immigration status, have the right to organize and are entitled to protection from unfair labor practices. In *Sure-Tan*, for example, the Supreme Court affirmed a Board decision that extended the protections of the NLRA to undocumented workers. In addition to relying on the text of the Act, which broadly defines covered employees, the Court pointed to the common policies driving both labor and immigration law:

> Application of the NLRA [to undocumented workers] helps to assure that the wages and employment conditions of lawful residents are not adversely affected by the competition of illegal alien employees who are not subject to the standard terms of employment. If an employer realizes that there will be no advantage under

> the NLRA in preferring illegal aliens to legal resident workers, any incentive to hire such illegal aliens is correspondingly lessened. In turn, if the demand for undocumented aliens declines, there may then be fewer incentives for aliens themselves to enter in violation of the federal immigration laws.

467 U.S. at 893-94. According to the Court, protecting undocumented aliens from unfair labor practices not only is "clearly reconcilable with," but indeed "serves the purposes of" the immigration laws. *Id.* at 894; *see also NLRB v. Kolkka*, 170 F.3d 937, 940 (9th Cir. 1999). At the same time, the Court emphasized that while the NLRA protects undocumented workers, the Board's remedies for unfair labor practices must not conflict with immigration law. *See Sure-Tan*, 467 U.S. at 902.

Petitioner Hoffman Plastic Compounds, Inc. manufactures custom-formulated polyvinylchloride pellets for use by customers who produce pharmaceutical, construction, and household products. In May, 1988, Jose Castro began working in Hoffman's production plant earning minimum wage as a compounder, an operator of large blending machines that mix and cook the plastic formulas ordered by customers. When the United Rubber, Cork, Linoleum and Plastic Workers of America, AFL-CIO began an organizing drive at Hoffman's factory, Castro, along with several other employees, distributed union authorization cards to coworkers. After what the Board later described as "coercive and restraining" interrogation of union supporters, Hoffman laid off each employee who had engaged in organizing activities, including Castro. *Hoffman Plastic Compounds, Inc.*, 306 N.L.R.B. 100 (1992).

When Hoffman received notice from the NLRB that the Union had filed a representation petition, it made some attempt to recall the discharged workers. A March 10, 1989 letter from Hoffman to Castro stated "[i]t looks like we'll need a few men soon" and asked him to contact his former supervisor "no later than 4 P.M., Monday, March 13, 1989."

Hoffman Plastic Compounds, Inc., 326 N.L.R.B. No. 86 (1998). Castro never responded.

After one of the discharged employees filed charges with the Board, an Administrative Law Judge found that Hoffman had engaged in multiple unfair labor practices. The Board adopted the ALJ's findings, concluding not only that the company had unlawfully interrogated employees about their union activities and sympathies, but that "in order to rid itself of known union supporters, [Hoffman] discriminatorily selected union adherents for layoff" in violation of Sections 8(a)(1) and (3) of the NLRA, 29 U.S.C. 158(a)(1), (3). *Hoffman Plastic*, 306 N.L.R.B. at 100. The Board ordered Hoffman to cease and desist from such unfair labor practices, to post a notice at the work site, and to reinstate and make whole those union supporters it had illegally fired.

When a dispute arose as to the proper computation of backpay, a compliance proceeding was held before another ALJ. Castro appeared at the hearing, testifying through an interpreter. When Hoffman's attorney began to question Castro about his citizenship and authorization to work in the United States, the Board's General Counsel objected. The ALJ sustained the objection, but not before Castro had stated that he was a Mexican national and that the birth certificate he had used to gain employment at Hoffman was borrowed from a friend. On the basis of this admission, the ALJ recommended neither reinstatement nor backpay for Castro. *See Hoffman Plastic Compounds, Inc.*, 314 N.L.R.B. 683, 685 (1994).

While the ALJ's recommendation was under consideration by the NLRB, the Board decided another case involving undocumented discriminatees, *A.P.R.A Fuel Oil Buyers Group*, 320 N.L.R.B. 408 (1995), *enforced* 134 F.3d 50 (2d Cir. 1997). There, the Board modified its standard remedy of reinstatement with backpay to account for the fact that the illegally fired workers lacked documentation. The Board conditioned its reinstatement order on the discriminatees' ability to verify their eligibility to work. It

also ordered that the backpay period terminate either when the discriminatees were lawfully reinstated or when they failed to produce the necessary employment eligibility documents within a reasonable period of time.

Issuing its Second Supplemental Decision and Order in this case, the Board adapted the remedy it had developed in *A.P.R.A. Fuel* to Castro's situation, denying reinstatement due to his undocumented status and awarding only limited backpay. *See Hoffman Plastic Compounds, Inc.*, 326 N.L.R.B. No. 86 (1998). To determine the backpay period, the Board first considered whether Hoffman's "[i]t looks like we'll need a few men soon" letter amounted to a specific and unequivocal offer of reinstatement that would toll backpay. Answering this question in the negative, the Board nonetheless allowed Hoffman the benefit of the after-acquired evidence defense and terminated the backpay period as of June 14, 1993, the date Hoffman learned that Castro had misrepresented his immigration status.

Hoffman now petitions for review of the Board's final order. The company does not challenge the Board's findings that it illegally discharged known union organizers and committed other unfair labor practices. It contests only Castro's limited backpay award, arguing that 1) *Sure-Tan* holds that undocumented aliens may never be awarded backpay; 2) IRCA prohibits backpay awards to undocumented workers; and 3) the Board misapplied the after-acquired evidence rule and violated the equal protection guarantee of the Fifth Amendment by giving undocumented workers preferential treatment. Cross-petitioning for enforcement, the NLRB, supported by amicus AFL-CIO, responds that the award of limited backpay to Castro is prohibited by neither *Sure-Tan* nor IRCA and falls well within the Board's broad remedial discretion. Indeed, the Board contends, the limited backpay award furthers the purposes of both labor and immigration law.

Before considering these issues, we register our disagreement with Hoffman's characterization of this case as

a dispute between "an innocent employer" and an employee who has no legal right to be in this country and who obtained his job through fraud. To be sure, the Board did find the evidence insufficient to conclude that Hoffman violated IRCA by hiring Castro knowing him to be an unauthorized alien. At the same time, however, the Board found that Hoffman had committed multiple unfair labor practices by interrogating, intimidating, and ultimately discharging union supporters. Hoffman neither contests these findings nor disputes that it failed to comply with the Board's order to reinstate Castro before his ineligibility for employment became known, when to do so would have ended the company's backpay liability without violating IRCA. *See* 8 C.F.R. § 274a.2(b)(viii)(A)(3), (5) (exempting employer from re-verifying an employee's eligibility for continuing employment after a temporary layoff or reinstatement after unjustified suspension or wrongful termination). And while it is true that Castro lied when falsely attesting to his work eligibility on the I-9 form and when identifying himself as "Jose Castro" in his sworn testimony at the compliance proceeding, the Supreme Court has held that a discriminatee's dishonesty does not preclude an award of backpay to remedy unfair labor practices. *See ABF Freight System Inc. v. NLRB*, 510 U.S. 317 (1994). Moreover, Castro's use of another's birth certificate to obtain employment did not violate IRCA at that time. See Immigration Act of 1990, Pub. L. No. 101-649, § 544, 104 Stat. 4978, 5059 (1990), codified at 8 U.S.C. § 1324c(a)(3) (amending IRCA to prohibit the use of documents issued to a person other than the possessor). Thus the precise issue before us is this: Did Castro's undocumented status-as opposed to his lying about it-render him entirely ineligible to obtain backpay as a remedy for Hoffman's serious and undisputed violations of the National Labor Relations Act?

II

We begin with Hoffman's argument, embraced by our dissenting colleague, that this ease is controlled by a single sentence from the Supreme Court's opinion in *Sure-Tan v.*

NLRB: "[I]n computing backpay, the employees must be deemed 'unavailable' for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States." *Sure-Tan*, 467 U.S. at 903. This sentence, Hoffman claims, "plainly prohibits" the NLRB from awarding even limited backpay to undocumented workers victimized by unfair labor practices. Read literally and divorced from its context, the sentence could well be interpreted to support that view. But determining whether particular Supreme Court language amounts to binding precedent is not so simple. The Court itself has warned against "dissect[ing] the sentences of the United States Reports as though they were the United States Code." *St. Mary's Honor Ctr. v. Hicks*, 509 U.S. 502, 515 (1993). Instead, we must read the allegedly controlling sentence in context, taking account of the facts of the case, the issues presented, and the Court's reasoning and holding. "The Court's every word and sentence cannot be read in a vacuum; its pronouncements must be read in light of the holding of the case and to the degree possible, so as to be consistent with the Court's apparent intentions and with other language in the same opinion." *Aka v. Washington Hosp. Ctr.*, 156 F.3d 1284, 1291 (D.C. Cir. 1998) (en banc). With this perspective in mind, and with the Court's entire backpay discussion at our fingertips *(see* Appendix A)-the sentence on which Hoffman relies appears in the penultimate paragraph-we turn to the task of elucidating *Sure-Tan* and determining whether it controls this case.

The employer in *Sure-Tan* attempted to invalidate a union election by notifying the Immigration and Naturalization Service that several employees were undocumented. In response, the INS arrested five of the workers, all of whom agreed to return to Mexico to avoid deportation. "By the end of the day, all five employees were on a bus ultimately bound for Mexico." *Sure-Tan*, 467 U.S. at 887.

An ALJ found that the employer had violated the NLRA by constructively discharging its undocumented workers in retaliation for their union support. Because the ALJ thought that the discriminatees' return to Mexico rendered reinstatement "at best an unlikely prospect," he recommended holding the reinstatement offers open for six months to permit them to return lawfully. And since their absence from the country left the discriminatees "unavailable for employment" and therefore ineligible for backpay under standard NLRB policy, the ALJ suggested a minimum award of four weeks pay to each discriminatee to provide some measure of compensation for the discharged employees and to deter the employer. *Sure-Tan Inc.*, 234 N.L.R.B. 1187,1192 (1978).

Although the Board agreed that the company had violated the NLRA, it rejected the ALJ's recommended minimum remedy as "unnecessarily speculative" because no evidence supported his assumption that the discriminatees were not already back in the country and once again available for work. *Id.* at 1187. The Board instead ordered its usual remedy of reinstatement with backpay, leaving for a future compliance proceeding the determination of each employee's availability for work and the calculation of backpay. *Id.* In doing so, the Board reiterated two standard rules: "[t]he backpay period runs from the discriminatory loss of employment to the bona fide reinstatement offer," and discriminatees "found to be unavailable for work (including unavailability because of enforced absence from the country) will have their backpay tolled accordingly." *Sure-Tan Inc.*, 246 N.L.R.B. 788, 788 (1979). One dissenting member urged the Board to "clarify" that reinstatement offers should be available only to discriminatees who reenter the country lawfully. *Id.* at 791. A second dissenter urged that the backpay period run only from the date of the constructive discharge to the date the discriminatees left the country. *Id.*

The Seventh Circuit upheld the Board's decision and enforced its order, with a few modifications. To guard against the possibility that the discriminatees "might be motivated to

reenter the United States unlawfully to claim reinstatement and backpay," *NLRB v. Sure-Tan, Inc.*, 672 F.2d 592, 603 (7th Cir. 1982), the court directed that the reinstatement offers be made conditional upon legal reentry, that they be sent in Spanish by verified delivery to the discriminatees' addresses in Mexico, and that they remain open for at least four years to afford the workers an opportunity to return lawfully and reclaim their jobs. *See id.* at 606. Using language later adopted by the Supreme Court and now relied on by Hoffman, the court also modified the Board's order by stating that "in computing backpay discriminatees will be deemed unavailable for work during any period when not lawfully entitled to be present and employed in the United States." *Id.* Sharing the ALJ's concern that the discriminatees, having left the country immediately after their discharge with no prospect of lawful return, might receive no backpay at all, thus leaving them uncompensated and the employer undeterred, and echoing the ALJ's original suggested minimum backpay award, the court directed the Board to modify the order to include a minimum award of six months' backpay to each discharged worker. Six months, the court said, represented an estimate of the minimum time "during which the discriminatees might reasonably have remained employed without apprehension by INS, but for the employer's unfair labor practice. *Id.*

The Supreme Court agreed with the Board and the Seventh Circuit that undocumented workers are protected by the NLRA. It also agreed that the employer, by notifying the INS of the workers' immigration status, had committed an unfair labor practice. Sure-Tan, 467 U.S. at 895-96. Then, turning to the question of remedy, and repeatedly emphasizing the broad deference due the NLRB, the Court affirmed the Board's original order in all respects. Even a cursory review of the Court's discussion-readers might want to pause and read it for themselves *(see* Appendix A)-reveals that 1) whether undocumented workers are eligible to receive backpay was not an issue before the Court and 2) the only backpay issue the Court considered was whether the six-

month minimum award imposed by the Seventh Circuit was an unduly speculative estimate "not sufficiently tailored to the actual, compensable injuries suffered by the discharged employees." *Id.* at 901. At the very outset of its discussion, the Court states: "Petitioners attack those portions of the Court of Appeals' order which modified the Board's original order by providing for an *irreducible minimum of six* months' backpay for each employee and by detailing the language, acceptance period, and verification method of the reinstatement offers." *Id.* at 898 (emphasis added). Notice that the Court nowhere says that the employer argued, as does Hoffman, that the discriminatees were ineligible to receive backpay simply because they were undocumented. Notice also that the Court describes the sentence on which Hoffman places so much emphasis as merely repeating a limitation on backpay imposed by the Seventh Circuit, an issue that was neither challenged nor briefed by either the Board or the employer:

> Conditioning the offers of reinstatement on the employees' legal reentry and deeming the employees "unavailable" during any period when they were not lawfully present are requirements that were in fact imposed by the Court of Appeals in this case, and hence fully accepted by the Board .... The Board has clearly indicated its agreement with these portions of the Court of Appeals' remedial order by specifically noting that petitioners do not challenge these parts of the order [and] by limiting its own argument to the minimum backpay award issue alone . . .

Id. at 903 n.12. *See also id.* at 898 n.8; *Del Rey Tortilleria, Inc. v. NLRB*, 976 F.2d 1115,1123 (7th Cir. 1992) (Cudahy, J., dissenting). The sentence on which Hoffman relies was not even an issue before the Court.

Moreover, in setting aside the Seventh Circuit's six-month minimum award, the Court made clear that, contrary to Hoffman's argument, undocumented workers may receive backpay. To begin with, the Court said that it "generally

approve[s] the Board's original course of action in this case by which it ordered the conventional remedy of reinstatement with backpay, leaving until the compliance proceeding more specific calculations as to the amounts of backpay, if any, due these employees." *Sure-Tan*, 467 U.S. at 902. The Court explained that the discriminatees could receive backpay despite their illegal status so long as the amount reflected the actual time they might have continued working but for the employer's unfair labor practice. The Court did not fault the Seventh Circuit for awarding backpay to undocumented workers, nor for basing the award on the "minimum time during which the discriminatees might reasonably have remained employed without apprehension by INS, but for the employer's unfair labor practice." *Id.* at 899 (internal quotation marks omitted). Instead, the Court held that the Seventh Circuit erred by picking the six-month period out of thin air. The "main deficiency" in the Seventh Circuit's order, the Court explained, was not that it awarded backpay to undocumented aliens, but that the *amount* of backpay awarded was "develop[ed] in the total absence of any record evidence as to the circumstances of the individual employees," thus violating the "cardinal" proposition "that a backpay remedy must be sufficiently tailored to expunge only the *actual*, and not merely *speculative*, consequences of the unfair labor practices." *Id*, at 899-900 & n.9. The Court continued:

> [T]he Court of Appeals "estimated" an appropriate period of backpay without any evidence whatsoever as to the period of time these particular employees might have continued working before apprehension by the INS and without affording petitioners any opportunity to provide mitigating evidence. In the absence of relevant factual information or adequate analysis, it is inappropriate for us to conclude, as does JUSTICE BRENNAN, that the Court of Appeals had estimated the proper minimum backpay award "with a fair degree of precision."

Id. at 901 n. 11. If as Hoffman argues undocumented workers may never be awarded backpay, the Court would not have mentioned "the proper minimum backpay award," "the period of time these particular employees might have continued working before apprehension by the INS," or "affording petitioners any opportunity to provide mitigating evidence." Nor would there have been any need for more "relevant factual information or adequate analysis," much less for a compliance proceeding to determine the amount of backpay actually due. In light of the fact that *Sure-Tan* does not bar undocumented workers from receiving backpay, what are we to make of the sentence on which Hoffman and our dissenting colleague place so much emphasis? The answer is that the Court intended the sentence to guide the Board on remand in dealing with the unique circumstances of the *Sure-Tan* employees. Recall that the *Sure-Tan* discriminatees, unlike Castro, had left the country. Having approved the Board's general order of reinstatement with backpay, and having remanded for compliance proceedings to calculate the amount of backpay due, the Court went on to agree with the Seventh Circuit that whatever specific remedy the Board might formulate must not encourage the disciiminatees to re-enter the country illegally. The INA's "central concern," the Court pointed out, was regulating "admission to the country." *Id.* at 892. The Court therefore added the paragraph in which Hoffman's sentence appears:

> [A]s the Court of Appeals recognized, the implementation of the Board's traditional remedies at the compliance proceedings must be conditioned upon the employees' legal readmittance to the United States. In devising remedies for unfair labor practices, the Board is obliged to take into account another equally important Congressional objective-to wit, the objective of deterring unauthorized immigration that is embodied in the INA. By conditioning the offers of reinstatement on the employees' legal reentry, a potential conflict with the INA is thus avoided. *Similarly, in computing backpay, the employees must be deemed "unavailable" for work*

(and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States.

Id. at 902-03 (emphasis added) (internal quotation marks and citation omitted). Notice that the first sentence refers to "the employees' legal readmittance to the United States." *Id.* at 903. The second sentence mentions "deterring unauthorized immigration." *Id.* The third again refers to "the employees' legal reentry." *Id. So* when in the final sentence the Court mentions employees "not lawfully entitled to be present and employed in the United States," it must be referring only to *those particular* Sure-Tan employees who had left the country and could not lawfully return.

Indeed, the sentence makes sense only *because* the *Sure-Tan* discriminatees had left the country. As the Court itself pointed out, although the employees were illegally present in the United States while working for the company, it was not unlawful for the company to have employed them. *Id.* at 892-93. Because their employment was not prohibited, it cannot be said that they were "not lawfully entitled to be present *and employed* in the United States." Not until the discriminatees left the country-at which point they could not have been reinstated without reentering in violation of immigration law-did they become "not lawfully entitled to be *present and employed* in the United States." And for the same reason, not until they left the country did the discriminatees lose their "legal availability for work." Id at 904.

To sum up, in light of *Sure-Tan's* reasoning and its holding that undocumented workers are protected by the NLRA and may in fact receive properly tailored awards of backpay, we must reject Hoffman's interpretation of the sentence. Reading it to bar all backpay to undocumented workers would expand a snippet of dicta well beyond the unique facts of *Sure-Tan* to create a blanket rule that, in addition to conflicting with *Sure-Tan* itself, would undermine the purposes of awards both immigration and labor law. *See infra* at 21-23. What we said in *Aka*, where we also refused to

adopt "an unqualifiedly literal reading" of an isolated passage from a Supreme Court opinion, applies here as well: Hoffman's interpretation would not carry out the Court's true purpose." 156 F.3d at 1291. Read properly, the sentence simply reminds the Board that the remedies it fashions for unfair labor practices must not encourage violations of immigration law.

Two of the three Circuits that have addressed this issue agree with our interpretation of *Sure-Tan*. In *Felbro*, the Ninth Circuit stated: "In *Sure-Tan*, the Supreme Court did not address the issue whether undocumented workers remaining at work in the United States throughout the backpay period are entitled to backpay awards. *Sure-Tan* barred from backpay only those undocumented workers who were unavailable for work in the backpay period because they were outside the United States without entry papers." 795 F.2d at 722. To be sure, in a later case also upholding an award of backpay to undocumented workers, the Ninth Circuit added a footnote speculating whether the enactment of IRCA might "change[] the mix of policy considerations underlying the case law which supports our conclusion that undocumented employees may recover backpay." *EEOC v. Hacienda Hotel*, 881 F.2d 1504, 1517 n.11 (9th Cir.1989). As we explain in the following section, however, IRCA's enactment did not alter the labor and employment law protections afforded undocumented workers. The Ninth Circuit, moreover, has never repudiated *Felbro's* and *Hacienda Hotel's* holdings that backpay can be awarded to undocumented workers. Indeed, the Ninth Circuit and its district courts have consistently reaffirmed that undocumented workers continue to be protectedby labor and employment laws after IRCA and have continued to award them backpay. *See, e.g., Kolkka*, 170 F.3d 937; *Contreras v. Corinthian Vigor Ins. Brokerage, Inc.*, 25 F. Supp. 2d 1053 (N.D. Cal. 1998); *Escobar v. Baker*, 814 F. Supp. 1491, 1498 (W.D. Wash. 1993); *EEOC v. Tortilleria "La Mejor,"* 758 F. Supp. 585 (E.D. Cal. 1991). Likewise, in *A.P.R.A Fuel*, the Second Circuit held that *Sure-Tan* bars awards of backpay only to those undocumented employees

who are unavailable for work because they are outside the country and unable to lawfully reenter. *See A.P.R.A Fuel*, 134 F.3d at 54-55. *But see Del Rey Tortilleria*, 976 F.2d at 1120-21 (interpreting *Sure-Tan* as imposing a blanket prohibition on backpay awards to undocumented workers).

* * *

Hoffman next argues that even if *Sure-Tan* does not bar backpay to undocumented aliens, the Immigration Reform and Control Act of 1986 does. IRCA, it will be recalled, "establishe[d] penalties for employers who *knowingly* hire undocumented aliens, thereby ending the magnet that lures them to this country." H.R. Rep. No. 99-682(1) at 45-46 (1986), reprinted in 1986 U.S.C.C.A.N. 5649-50 (emphasis added). In addition to employer sanctions, *see 8 U.S.C.* § 1324a(a), IRCA establishes procedures by which employers must verify employee eligibility to work, *see 8 U.S.C.* § 1324a(b), and makes it unlawful for employers to discriminate against authorized workers on the basis of citizenship or national origin, *see 8* U.S.C. § 1324b. Because undocumented workers "live in fear, afraid to seek help when their rights are violated, when they are victimized by criminals, employers or landlords," IRCA established amnesty procedures to legalize the status of undocumented workers illegally present in the country, allowing them "to contribute openly to society and ... help[ing] to prevent the exploitation of this vulnerable population in the work place." H.R. Rep. 99-682(I) at 49, 1986 U.S.C.C.A.N. at 5653.

According to Hoffman, "the plain intent of IRCA" was to prevent the Board from awarding rundocumented workers backpay. The Board interprets IRCA differently. It argues that far from barring backpay awards, IRCA preserves the NLRA's "protections and remedies for undocumented aliens as one of many useful tools in a multifaceted strategy" to reduce illegal immigration by aiming at its "economic roots."

Two principles guide our consideration of this issue. First, while the Board's formulation of remedies for NLRA

violations merits the highest level of deference, *see ABF Freight*, 510 U.S. at 324, we owe no deference to its interpretation of IRCA. *See, e.g., New York Shipping Assn v. Federal Maritime Comm'n*, 854 F.2d 1338, 1365 (D.C. Cir. 1988) (agency interpretation of a statute it does not administer is entitled to no deference). Second, in enforcing the NLRA, the Board may not

> ignore other and equally important Congressional objectives. Frequently the entire scope of Congressional purpose calls for careful accommodation of one statutory scheme to another, and it is not too much to demand of an administrative body that it undertake this accommodation without excessive emphasis upon its immediate task.

Southern Steamship Co. v. NLRB, 316 U.S. 31, 47 (1942). If a conflict requires the Board "to accommodate the policies of another statutory regime within the framework of the legislation it administers," it "must fully enforce the requirements of its own statute, but must do so, insofar as possible, in a manner that minimizes the impact of its actions on the policies of the other statute." *New York Shipping*, 854 F.2d at 1367. "[A]n agency, faced with alternative methods of effectuating the policies of the statute it administers, (1) must engage in a careful analysis of the possible effects those alternative courses of action may have on the functioning and policies of other statutory regimes, with which a conflict is claimed; and (2) must explain why the action taken minimizes, to the extent possible, its intrusion into policies that are more properly the province of another agency or statutory regime." *Id.* at 1370. This is precisely what the Board has done.

To begin with, we agree with the Board that nothing in IRCA bars awards of limited backpay to remedy unfair labor practices against undocumented workers. Hoffman itself acknowledges that IRCA neither amends nor repeals the NLRA or any other labor law. The House Judiciary

Committee Report, moreover, expressly states that IRCA's employer sanctions provisions are not intended to

> be used to undermine or diminish in any way labor protections in existing law, or to limit the powers of federal or state labor relations boards, labor standards agencies, or labor arbitrators to remedy unfair practices committed against undocumented employees for exercising their rights before such agencies or for engaging in activities protected by existing law. In particular, the employer sanctions provisions are not intended to limit in any way the scope of the term "employee" in Section 2(3) of the [NLRA], as amended, or of the rights and protections stated in Sections 7 and 8 of that Act.

H.R. Rep. 99-682(I) at 58, 1986 U.S.C.C.A.N. at 5662. The Judiciary Committee relied on *Sure-Tan* to support its view that continued protection of undocumented workers under the labor laws is fully consistent with IRCA's goals:

> As the Supreme Court observed in *Sure-Tan*, application of the NLRA [to undocumented workers] "helps to assure that the wages and employment conditions of lawful residents are not adversely affected by the competition of illegal alien employees who are not subject to the standard terms of employment."

Id. (internal citation omitted). Echoing this view, the House Education and Labor Committee Report states that no provision of the law should

> limit the powers of State or Federal labor standards agencies such as the Occupational Safety and Health Administration, the Wage and Hour Division of the Department of Labor, the Equal Employment Opportunity Commission, *the National Labor Relations Board*, or Labor arbitrators, in conformity with existing law, to remedy unfair practices committed against undocumented employees for exercising their rights before such agencies or for engaging in activities

> protected by these agencies. To do otherwise would be counter-productive of our intent to limit the hiring of undocumented employees and the depressing effect on working conditions caused by their employment.

H.R. Rep. No. 99-682(11) at 8-9 (1986), reprinted in 1986 U.S.C.C.A.N. 5758 (emphasis added). Not only does this legislative history make clear that IRCA imposed no limits on labor law protections for undocumented workers, but the statute itself authorized supplemental appropriations to the Department of Labor for expanded enforcement of existing labor standards and practices "in order to deter the employment of unauthorized aliens and remove the economic incentives for employers to exploit and use such aliens." Pub. L. No. 99-603, § 111(d), 100 Stat. 3359 (1986). If as Hoffman argues IRCA limited labor law protection for undocumented workers, it hardly seems likely that IRCA would have simultaneously authorized additional funds to enforce the labor laws.

In formulating remedies for unfair labor practices committed against undocumented workers, moreover, the Board has not "ignore[d] other and equally important Congressional objectives." *Southern Steamship*, 316 U.S. at 47. To the contrary, it has "fully enforce[d] the requirements of its own statute [the NLRA] in a manner that minimizes the impact of its actions on the policies of the other statute [IRCA]." *New York Shipping*, *854* F.2d at 1367. In its first post-IRCA case, *A.P.R.A Fuel*, the Board observed that the NLRA and IRCA share "virtually identical policy objectives with respect to the American workplace," and concluded that it "can best achieve this mutuality of purpose and effect by vigorously enforcing the NLRA, including providing traditional Board remedies, with respect to all employees, to the extent that such enforcement does not require or encourage unlawful conduct by either employers or indviduals." *AP.R.A Fuel*, 320 N.L.R.B. at *415*, *411*. "To do otherwise," the Board explained, "would increase the incentives for some unscrupulous employers to play the

provisions of the NLRA and IRCA against each other to defeat the fundamental objectives of each, while profiting from their own wrongdoing with relative impunity. Thus, these employers would be free to flout their obligations under the Act, secure in the knowledge that the Board would be powerless fully to remedy their violations." *Id*, at 415. Taking account of these common statutory goals, the Board in *AP.R.A Fuel* ordered its usual remedy of reinstatement with backpay but imposed two limitations to avoid any conflict with the policies underlying IRCA: it conditioned reinstatement on compliance with IRCNs employment eligibility verification requirements and terminated backpay when the disetiminatees either are lawfully reinstated or, after a reasonable period of time, fail to produce the required employment documents. *See id.* (citing *NLRB v. Future Ambulette*, Inc., 903 F.2d *140, 145* (2d Cir. 1990) (conditioning reinstatement of a driver whose license had been suspended on his presentation of a valid driver's license within a reasonable period of time and placing a time limit on backpay liability to prevent the employer from being tempted to rehire the driver before he obtained a valid license)). According to the Board, this remedy-conditional reinstatement combined with limited backpay-best reconciles the goals of the NLRA and IRCA. *See A.P.R.A. Fuel*, 320 N.L.R.B. at 416; *see also Regal Recycling, Inc., 329* N.L.R.B. No. 38 (1999); *County Window Cleaning Co.*, 328 N.L.R.B. No. 26 (1999); *Intersweet Inc.*, 321 N.L.R.B. 1 (1996).

Courts and administrative agencies agree that IRCA does not limit labor law protections afforded undocumented workers. Enforcing the Board's *AP.R.A. Fuel* remedy, the Second Circuit held "without hesitation that IRCA did not diminish the Board's power to craft remedies for violations of the NLRA, provided that the Board's remedies do not conflict with the requirements of iRCA." *NLRB v. AP.R.A Fuel Oil Buyers Group, Inc.*, 134 F.3d 50, 56 (2d Cir. 1997). Withholding backpay from undocumented workers would, the court explained, undermine the purposes of both IRCA and the NLRA. It would conflict with IRCA because "precluding the remedy would increase the incentives for employers to

hire undocumented aliens," which would, in turn, increase the incentives that encourage illegal immigration. Withholding backpay would also frustrate collective bargaining lights of lawful U.S. workers under the NLRA, the court found:

> [T]he lack of a backpay remedy would make undocumented workers an easy target for employers resisting union organization, and, thus, frustrate the rights of lawful U.S. workers under the NLRA. An employer could intimidate United States citizens and other lawful residents by targeting undocumented workers for antiunion discharges. Or, alternatively, legal workers might be reluctant to organize in the first instance if the Board were unable to issue any remedy against illegal actions taken by employers against undocumented workers who support the union.

Id. at 58; *see also, e.g., Kolkka*, 170 F.3d at 941 (holding that IRCA does not limit the rights of undocumented workers to vote in union elections); *Patel v. Quality Inn South*, 846 F.2d 700, 704 (llth Cir. 1988) (applying the FLSA to undocumented aliens to further IRCA's goal of "eliminating employers' economic incentives to hire" them); *Contreras*, 25 F. Supp. 2d at 1059-60 (continuing after IRCA to apply the FLSA to undocumented workers and to award them punitive damages, noting that "[t]he Ninth Circuit has taken the broader view of the *Sure-Tan* holding, upholding awards of back pay to undocumented aliens for wrongful employment practices if, during their time of discharge, the workers remained in the U.S. available for work, and the back pay period could be calculated with certainty"), *Escobar*, 814 F. Supp. at 1498 (holding that undocumented workers can recover damages for violations of the Migrant and Seasonal Agricultural Workers Protection Act, as amended by IRCA); *EEOC v. Switching System Div. of Rockwell Int'l Corp.*, 783 F. Supp. 369, 374 (N.D. Ill. 1992) ("Title VII's protections extend to aliens who may be in this country either legally or illegally.") (post-IRCA); *Tortilleria "La Mejor,"* 758 F. Supp. 585 (holding that Title VII continues to apply to

undocumented workers after IRCA); EEOC Enforcement Guidance on Remedies Available to Undocumented Workers Under Federal Employment Discrimination Laws, No. 915.002 (1999) (adopting the *AP.R.A Fuel* analysis and remedy for undocumented workers whose rights under Title VII, the Americans with Disabilities Act, the Rehabilitation Act, the Age Discrimination in Employment Act, or the Equal Pay Act are violated).

In contrast to the Board's limited backpay policy, Hoffman's position would undermine both IRCA and the NLRA. If employers are exempt from paying backpay to undocumented workers, they will favor undocumented over documented workers, thus increasing the incentives for unlawful immigration, precisely what IRCA is intended to prevent. As the Supreme Court said in *Sure-Tan,* "[i]f an employer realizes that there will be no advantage under the NLRA in preferring illegal aliens to legal resident workers, any incentive to hire such illegal aliens is correspondingly lessened. In turn, if the demand for undocumented aliens declines, there may then be fewer incentives for aliens themselves to enter in violation of the federal immigration laws." 467 U.S. at 893-94. Denying backpay would likewise subvert the common policy underlying both IRCA and the NLRA, *ie.*, maintaining wages and working conditions for authorized employees. *Sure-Tan* made this point as well: "Application of the NLRA helps to assure that the wages and employment conditions of lawful residents are not adversely affected by the competition of illegal-alien employees who are not subject to the standard terms of employment." *Id.* at 893. Finally, excusing employers from paying backpay to undocumented workers would undermine the collective bargaining rights of all employees, including authorized workers. *Sure-Tan* put it this way:

> If undocumented alien employees were excluded from participation in union activities and from protections against employer intimidation, there would be created a subclass of workers without a comparable stake in the

> collective goals of their legally resident co-workers, thereby eroding the unity of all the employees and impeding effective collective bargaining. Thus, the Board's categorization of undocumented aliens as protected employees furthers the purposes of the NLRA.

Id, at 892 (internal citation omitted). Elaborating in *A.P.R.A. Fuel,* the Board explained that because "undocumented aliens are extremely reluctant to complain to the employer or to any of the agencies charged with enforcing workplace standards," they make easy targets for an employer's "unprincipled effort to stave off . . . union representation." *A.P.R.A. Fuel,* 320 N.L.R.B. at 414. Employers resisting unions could simply fire undocumented workers who try to organize and then raise "the unlawful immigration status of their discharged employees in retaliation for protected activities;" employers might even "consider the penalties of IRCA a reasonable expense more than offset by the savings of employing undocumented workers or the perceived benefits of union avoidance." *Id.* at 415. This also harms the collective bargaining rights of authorized workers, the Board found, because "the continuous threat of replacement with powerless and desperate undocumented workers would certainly chill the American and authorized alien workers' exercise of their Section 7 rights," *Id.* at 414.

For all these reasons, we hold that the Board has fully satisfied its obligation to "accommodat[e] one statutory scheme to another." *Southern Steamship,* 316 U.S. at 47. The Board crafted its limited backpay remedy to avoid conflict with IRCA and to promote the purposes of both statutes. The remedy reduces employer incentives to prefer undocumented workers (IRCA's goal), reinforces collective bargaining rights for all workers (the NLRA's goal), and protects wages and working conditions for authorized workers (the goal of both Acts). Because these last two points reflect the Board's interpretation of the NLRA, we owe them considerable deference. *See, e.g., Sure-Tan,* 467 U.S. at 899 (warning that courts "should not substitute their judgment for that of the

Board in determining how best to undo the effects of unfair labor practices"). If as Hoffman believes the Board has struck the wrong balance between the two statutes, its remedy lies in Congress, not this court.

* * *

With this understanding of *Sure-Tan* and IRCA in mind, we return to the specific remedy the Board ordered in this case. To repeat, it denied Castro reinstatement altogether and limited his backpay to the period beginning with his unlawful termination and ending on the date Hoffman learned of his undocumented status. This remedy complies with *Sure-Tan* and IRCA in all respects.

First, unlike the Seventh Circuit's six-month minimum award in *Sure-Tan*, the Board's award of backpay to Castro was not at all speculative. The Board limited backpay to the period of time during which Castro could have continued worldng but for Hoffman's unfair labor practice. This represents precisely the kind of individual tailoring demanded by *Sure-Tan*. And unlike in *Sure-Tan*, the Board had no reason to worry that the remedy might encourage the discriminatee to re-enter the country illegally Castro had never left.

Second, the Board modified its usual *A.P.R.A Fuel* remedy in this case to ensure that Castro's award would not conflict with immigration law. Although the usual remedy includes reinstatement conditional on compliance with IRCA's verification provisions, the Board denied conditional reinstatement to Castro because, under IRCA, Hoffman's discovery of Castro's ineligibility to work would have required his termination. For the same reason, the Board ended Castro's backpay as of the date Hoffman discovered his true immigration status.

According to our dissenting colleague, requiring an employer to give backpay to an employee it cannot now lawfully hire "boggles the mind." *See infra.*, Sentelle, J., dissenting. It certainly would boggle the mind had the Board

ordered reinstatement, but it rejected that option. Instead it fashioned a limited remedy, carefully crafted to promote the goals of the NLRA without running afoul of IRCA. IRCA, as we pointed out above, does not make it unlawful for an *alien* to work; it makes it unlawful for an *employer* to hire "an alien knowing the alien is . . . unauthorized." 8 U.S.C. § 1324a(a)(1)(A). Having now discovered Castro's unauthorized status, Hoffman can no longer employ him lawfully. But at the time Hoffman hired Castro, it complied with IRCA, and from that date until it learned he is unauthorized, nothing prohibited his continued employment. It was to that period of Castro's lawful availability for employment that the Board limited the backpay award. Far from boggling the mind, this remedy fully complies with *Sure-Tan* and avoids any violation of IRCA.

III

Hoffman's additional arguments require little discussion. It claims that the Board misapplied the after-acquired evidence rule. According to Hoffman, Castro's undocumented status should have barred all backpay, not just backpay from the date Hoffman learned of Castro's status. For this proposition, Hoffman cites *McKennon v. Nashville Banner Publishing Co.*, 513 U.S. 352 (1995), but misreads the case. In *McKennon*, the lower court had dismissed a discharged employee's lawsuit under the Age Discrimination in Employment Act because the employer learned that the plaintiff had violated company policy by making unauthorized copies of sensitive documents. The Supreme Court reversed, squarely rejecting the lower court's conclusion that discovery of "wrongdoing which would have resulted in discharge bars employees from any relief' for employers' unlawful acts. *Id.* at 356. Rejecting "[a]n absolute rule barring any recovery of backpay," the Court held that the typical remedy should be "backpay from the date of the unlawful discharge to the date the new information was discovered." *Id.* Consistent with its longstanding policy, that is precisely what the Board ordered in this case. *See, e.g.*,

Marshall Durbin Poultry Co., 310 N.L.R.B. 68, 70 (1993), *enforced in pertinent part*, 39 F.3d 1312, 1317 (5th Cir. 1994); *John Cuneo, Inc.*, 298 N.L.R.B. 856, 857 (1990).

Equally without merit is Hoffman's argument that "[b]y awarding undocumented aliens backpay without any consideration regarding whether these individuals can mitigate their damages, the Board treats illegal aliens more favorably than documented workers and by doing so, the Board violates the equal protection clause of the Fifth Amendment to the United States Constitution." Not only do we doubt the company's standing to assert the equal protection rights of third parties, *see, e.g., Powers v. Ohio*, 499 U.S. 400, 410-16 (1991), but Hoffman points to no evidence that the Board applies a different mitigation standard to undocumented workers. In any event, the Board found that Castro had sought and obtained interim employment, thus fulfilling his duty to mitigate. The Board subtracted his interim earnings of almost $4,000 from the backpay award.

Finally, we think it worth repeating that Hoffman itself could have mitigated its backpay liability either by making a bona fide reinstatement offer in its letter recalling Castro a few weeks after it fired him, or by complying promptly with the Board's reinstatement order. *See supra* at 7. INS regulations issued pursuant to IRCA expressly permit reinstatement after an unlawful discharge without requiring the employer to reverify the employee's eligibility documents. *See* 8 C.F.R. § 274a.2(b)(viii)(A).

IV

The petition for review is denied, and the cross-application for enforcement is granted.

So ordered.

APPENDIX A

OCTBER TERM, 1983

IV

There remains for us to consider petitioners' challenges to the remedial order entered in this case. Petitioners attack those Portions of the Court of Appeals' order which modified the Boards' original order by providing for an irreducible minimum of six months' backpay for each employee and by detailing the language, acceptance period, and verification method of the reinstatement offers.[8] We find that the Court of Appeals exceeded its narrow scope of review in imposing both these modifications.

A

Section 10(c) of the Act empowers the Board, when it finds that an unfair labor practice has been committed, to issue an order requiring the violator to "cease and desist from such unfair labor practice, and to take such affirmative action including reinstatement of employees with or without backpay, as will effectuate the policies" of the NLRA. 29 U.S.C. § 160(c). The Court has repeatedly interpreted this statutory command as vesting in the Board the primary responsibility and broad discretion to devise remedies that effectuate the policies of the Act, subject only to limited judicial review. See, e.g., *NLRB v. J. H. Rutter-Rex Mfg. Co.*,

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[8] Petitioners do not challenge the cease and desist order imposed by the Board and affirmed the Court of Appeals. Under such an order, petitioners will be subject to contempt sanctions should they again resort to the discriminatory tactics employed here. Nor do petitioners appear to challenge the courts modifications of the Boards remedial order conditioning acceptance of the reinstatement offers and the accrual of any backpay upon the discharged employees' legal presence in this country. See n. 12, *infra*.

396 U. S. 258, 262-263 (1969); *Fibreboard Paper Products Corp. v. NLRB*, 379 U. S. 203, 216 (1964); *Phelps Dodge Corp. v. NLRB*, *313* U. S. 1771 194 (1941). Although the courts of appeals have power under the Act "to make and enter a decree . . . modifying, and enforcing as so modified" the orders of the Board, 29 U.S.C. §§ 160(e), (f), they should not substitute their judgment for that of the Board in determining how best to undo the effects of unfair labor practices:

> "Because the relation of remedy to policy is peculiarly a matter for administrative competence, courts must not enter the allowable area of the Board's discretion and must guard against the danger of sliding unconsciously from the narrow confines of law into the more spacious domain of policy." *Phelps Dodge Corp., supra,* at 194.

See also *NLRB v. Seven-Up Bottling Co.*, 344 U. S. 344, 346 (1963) (power to fashion remedies "is for the Board to wield, not for the courts").

Here, the Court of Appeals impermissibly expanded the Board's original order to provide that each discriminatee would receive backpay for at least six months on the ground that six months is a reasonable assumption" as to the "minimum [time] during which the discriminatees might reasonably have remained employed without apprehension by INS, but for the employer's unfair labor practice." 672 F. 2d, at 606. We agree with petitioners that this remedy ordered by the Court of Appeals exceeds the limits imposed by the NLRA.[9]

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[9] Justice Brennan asserts that since the Board has "fully acquiesced" in the Court of Appeals' remedy, the case should be reviewed as if the Board itself had developed the remedial order. *See post*, at 907. 'This argument misses the mark on two levels. First, our traditional deference to such remedial orders is premised upon our appreciation that the Board has duly considered and brought to bear its "special competence" in fashioning appropriate relief in any given unfair labor practice case. *See NLRB v. J. Weingarten, Inc.*, 420 U.S. 261, 265-266 (1975). Given the disparity between the Board's original order and the Court of Appeals' modified order, that premise is patently inapplicable to this case. Moreover, the Board's mere acquiescence in the Court of Appeals' remedial order simply cannot correct the order's main deficiency-its development in the total absence of my record evidence as to the circumstances of the individual employees.

Not only did the court overstep the limits of its own reviewing authority, see *NLRB v. Seven-Up Bottling Co., supra*, at 346-347,[10] but it also effectively compelled the Board to take action that simply does not lie within the Board's own powers. Under § 10(c), the Board's authority to remedy unfair labor practices is expressly limited by the requirement that its orders "effectuate the policies of the Act." Although this rather vague statutory command obviously permits the Board broad discretion, at a minimum it encompasses the requirement that a proposed remedy be tailored to the unfair labor practice it is intended to redress. Quite early on, the Court established that "the relief which the statute empowers the Board to grant is to be adapted to the situation which calls for redress." *NLRB v. MacKay Radio & Telegraph Co.*, 304 U. S. 333, 348 (1938). See D. McDowell & K Huhn, NLRB Remedies for Unfair Labor Practices 8-15 (1976). Of course, the general legitimacy of the backpay order as a means to restore the situation "as nearly as possible, to that which would have obtained but for the illegal discrimination," *Phelps Dodge Corp.*, 313 U. S., at 194, is by now beyond dispute. Yet, it remains a cardinal albeit frequently unarticulated assumption, that a backpay remedy must be sufficiently tailored to expunge only the actual, and not merely *speculative*, consequences of the unfair labor practices. *Id.*, at 198 ("[Only actual losses should be made good . . ."). To this end, we have, for example, required that

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[10] In imposing a minimum backpay award, the Court of Appeals usurped the delegated function of the Board to decide how best to appraise the relevant factors that determine a just backpay remedy. The proper course for a reviewing court that believes a Board remedy to be inadequate is to remand the case to the Board for further consideration. *See supra*, at 899; *NLRB v. Food Store Employees*, 417 U. S. 1, 10 (1974).

the Board give due consideration to the employee's responsibility to mitigate damages in fashioning an equitable backpay award. See, e. g., *NLRB v. Seven-Up Bottling Co.*, *supra*, at *346; Phelps Dodge Corp. v. NLRB*, *supra*, at 198. Likewise, the Board's own longstanding practice has been to deduct from the backpay award any wages earned in the interim in another job, *see Pennsylvania* Greyhound Lines, *Inc.*, 1 N. L. R. B. 1, 51 (1935), enf'd, 91 F. 2d 178 (CA3 1937), rev'd on other grounds, 303 U.S. 261 (1938).

By contrast, the Court of Appeals' award of a minimum amount of backpay in this case is not sufficiently tailored to the actual, compensable injuries suffered by the discharged employees. The court itself admitted that although it sought to recompense the discharged employees for their lost wages, the actual 6-month period selected was "obviously conjectural" 672 F. 2d at 606, The court's imposition of this minimum backpay award in the total absence of record evidence as to the circumstances of the individual employees constitutes pure speculation and does not comport with the general reparative policies of the NLRA.[11]

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[11] We are also mindful that, prior to the instant case, the Board itself had never claimed the power given it here by the Court of Appeals. To our knowledge, the Board has never attempted to impose a minimum backpay award that the employer must pay regardless of the actual evidence as to such issues as an employee's availability for work or his efforts to secure comparable interim employment. In fact, in this very case, the Board had already rejected as "unnecessarily speculative" the ALJ's recommendation that a 4-week minimum period of backpay be awarded the discharged employees. 234 N. L. R. B., at 1187. The Board now argues that the Court of Appeals' backpay award involves no greater speculation than that which is normally involved in reconstructing what would have happened to certain employees but for their discriminatory discharge. *See, e.g., NLRB v. Superior Roofing Co.*, 460 F. 2d 1240 (CA9 1972) (*per curiam*); *Buncher v. NLRB*, 405 F. 2d 787 (CA3 1968), *cert denied*, 396 U.S. 828 (1969). In each of these cases, however, the courts enforced the Board's orders upon finding that the Board, in the course of compliance proceeding, had applied to particular facts a reasonable formula for determining the probable length of employment and compensation due and had permitted the employer to come forward with evidence mitigating

We generally approve the Board's original course of action in this case by which it ordered the conventional remedy of reinstatement with backpay, leaving until the compliance proceedings more specific calculations as to the amounts of backpay, if any, due these employees. This Court and other lower courts have long recognized the Board's normal policy of modifying its general reinstatement and backpay remedy in subsequent compliance proceedings as a means of tailoring the remedy to suit the individual circumstances of each discriminatory discharge. See *NLRB v. J. H. Rutter-Rex Mfg. Co.*, 396 U.S., at *260; Nathanson v. NLRB*, 344 U.S. 25, 29-30 (1952); *Trico Products Corp. v. NLRB*, 489 F. 2d 347, 353-354 (CA2 1973). Cf. *Teamsters v. United States*, 431 U.S. 324, 371 (1977) (individual Title VII claims to be resolved at remedial hearings held by District Court on remand). These compliance proceedings provide the appropriate forum where the Board and petitioners will be able to offer concrete evidence as to the amounts of backpay, if any, to which the discharged employees are individually entitled. See *NLRB v. Mastro Plastics Corp.*, 354 F. 2d 170 (CA2 1965), *cert. denied*, 384 U.S. 972 (1966); 3 NLRB Casehandling Manual § 10656 *et seq.* (1977) (preparation of backpay specification).

Nonetheless, as the Court of Appeals recognized, the implementation of the Board's traditional remedies at the compliance proceedings must be conditioned upon the

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liability. *See, NLRB v. Superior Roofing Co., supra*, at 1240-1241 (upholding use of a "seniority formula" to compute the earnings of a "representative employee" in a reasonable approximation of discharged roofer's earnings). In the instant case, the Court of Appeals "estimated" an appropriate period of backpay without any evidence whatsoever as to the period of time these particular employees might have continued working before apprehension by the INS and without affording petitioners any opportunity to provide mitigating evidence. In the absence of relevant factual information or adequate analysis, it is inappropriate for us to conclude, as does JUSTICE BRENNAN, that the Court of Appeals had estimated the proper minimum backpay award "with a fair degree of precision," *see post*, at 909.

employees' legal readmittance to the United States. In devising remedies for unfair labor practices, the Board is obliged to take into account another "equally important Congressional objectiv(e)," *Southern S.S. Co. v. NLRB*, 316 U.S. 31, 47 (1942)-to wit, the objective of deterring unauthorized immigration that is embodied in the INA. By conditioning the offers of reinstatement on the employees' legal reentry, a potential conflict with the INA is thus avoided. Similarly, in computing backpay, the employees must be deemed "unavailable" for work (and the accrual of backpay therefore totled) during any period when they were not lawfully entitled to be present and employed in the United States. Cf 3 NLRB Casehandling Manual §§ 10612, 10656.9 (1977).[12]

The Court of Appeals assumed that, under these circumstances, the employees would receive no backpay, and

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[12] Conditioning the offers of reinstatement on the employees legal reentry and deeming the employees "unavailable" during any period when they were not lawfully present are requirements that were in fact imposed by the Court of Appeals in this case, and hence fully accepted by the Board. See 672 F.2d, at 606 ("Consistent with our requirement that there be reinstatement only if the discriminatees are legally present and permitted by law to be employed in the United States we modify the Board's order so as to make clear (1) that (except for the minimum backpay award) in computing backpay discriminatees will be deemed unavailable for work during any period when not lawfully entitled to be present and employed in the United States . . . , App. to Pet. for Cert. 32a (modified order). Contrary to JUSTICE BRENNAN's assertion, *see post*, at 910, the Board does not argue that it would exempt these employees from its policy because their unavailability is directly attributable to the employer's own unfair labor practice. The Board refers to this limited exception to its normal rule solely to counter petitioners' suggestion that the minimum backpay award is somehow logically "inconsistent" with normal Board policies in calculating backpay. See Brief for Respondent 45, n. 44. The Board has clearly indicated its agreement with these portions of the Court of Appeals' remedial order by specifically noting that petitioners do not challenge these parts of the order, *see id.*, at 43, by limiting its own argument to the minimum backpay award issue alone, see *id.*, at 43-46, and, most importantly, by asking that the judgment below be affirmed in its entirety.

so awarded a minimum amount of backpay that would effectuate the underlying purposes of the Act by providing some relief to the employees as well as a financial disincentive against the repetition of similar discriminatory acts in the future. 672 F. 2d, at 606. We share the Court of Appeals' uncertainty concerning whether any of the discharged employees will be able either to enter the country lawfully to accept the reinstatement offers or to establish at the compliance proceedings that they were lawfully available for employment during the backpay period. The probable unavailability of the Act's more effective remedies in light of the practical workings of the immigration laws, however, simply cannot justify the judicial arrogation of remedial authority not fairly encompassed within the Act. Any perceived deficiencies in the NLRA's existing remedial arsenal can only be addressed by congressional action.[13] By directing the Board to impose a minimum backpay award without regard to the employees' actual economic losses or

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[13] According to JUSTICE BRENNAN, the Court stands guilty today of creating a "disturbing anomaly by, on the one hand, holding that undocumented aliens are "employees" within the meaning of the Act and so entitled to bring an unfair labor practice claim, but then, on the other hand, holding that these same employees are "effectively deprived of any remedy . . ." *See post*, at 911. This argument completely ignores the fact that today's decision leaves intact the cease and desist order imposed by the Board, see n. 7, *supra*, one of the Act's traditional remedies for discriminatory discharge cases. Were petitioners to engage in similar illegal conduct, they would be subject to contempt proceedings and penalties. This threat of contempt sanctions thereby provides a significant deterrent against future violations of the Act. At the same time, we fully recognize that the reinstatement and backpay awards afford both more certain deterrence against unfair labor practices and more meaningful relief for the illegally discharged employees. Nevertheless, we remain bound to respect the directives of the INA as well as the NLRA and to guard against judicial distortion of the statutory limits placed by Congress on the Board's remedial authority. Any other solution must be sought in Congress and not the courts.

legal availability for work, the Court of Appeals plainly exceeded its limited authority under the Act.[14]

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[14] In light of our disposition of this issue, we find it unnecessary to consider petitioners' claim that the minimum backpay awards are "punitive," and hence beyond the authority of the Board under *Republic Steel Corp. v. NLRB*, 311 U.S. 7, 9-12 (1940). We may thus avoid entering into what we have previously deemed "the bog of logomachy" as to what is "remedial" and what is "punitive." *NLRB v. Seven-Up Bottling Co.*, 844 U.S 344, 348 (1953).

SENTELLE, *Circuit Judge, dissenting:* In May of 1988, an undocumented alien having illegally entered the United States compounded his illegality when he fraudulently used the name and birth certificate of Jose Castro to obtain employment in the production plant of Hoffman Plastic. On January 31, 1989, the company laid off a number of employees supportive of a union organizing effort, including the employee (whose true name is still unknown) who had falsely represented himself to be Jose Castro. Thereafter, an administrative law judge, following an evidentiary hearing, found that Hoffman had engaged in unfair labor practices including the discriminatory selection of union adherents in the layoffs which included the illegal alien known as Castro.

After the disclosure of the undocumented worker's illegal status and his fraudulent use of the birth certificate, the administrative law judge unsurprisingly recommended neither reinstatement nor backpay. I find this decision by the administrative law judge unsurprising for multiple reasons. First, as it would be unlawful for Hoffman to employ the illegal and pay him earned wages, it defies logic-indeed it boggles the mind-to suppose that the employer could be compelled by law to pay to the illegal unearned wages which he could not lawfully earn and to which he would have no claim but for his prior successful fraud. If this were a case of first impression I would find it simple. I would hold that by no theory of law or equity could the federal government compel an employer to employ an illegal alien to do nothing and pay him for doing nothing when it could not lawfully employ him to work and pay him for working. But this is not a case of first impression. There is controlling Supreme Court law which makes the case an even easier one.

Analysis

In *Sure-Tan Inc. v. NLRB*, 467 U.S. 883 (1984), the Supreme Court reviewed a Seventh Circuit decision which had modified an NLRB order applying the National Labor Relations Act to unfair labor practices committed against

undocumented aliens. *See NLRB v. Sure-Tan Inc.*, 672 F.2d 592 (7th Cir. 1982). The High Court concluded that the Circuit was correct in upholding the Board's position "that undocumented aliens are 'employees' within the meaning of [29 U.S.C. § 152(3)]." 467 U.S. at 891. The Court reached this conclusion based on the deference owed the Board in "defining the term 'employee,'" a task "that 'has been assigned primarily to the agency created by Congress to administer the Act.'" Id. at 891 (quoting *NLRB v. Hearst Publications, Inc.*, 322 U.S. 111, 130 (1944)); *cf Chevron U.S.A., Inc. v. NRDC*, 467 U.S. 837, 842-45 (1984). That said, the Supreme Court nonetheless vacated the remedial portion of the Seventh Circuit decision, which had ordered the Board to award an irreducible minimum of six months backpay to each of the affected employees even in the face of the employees' illegal entry and presence in the United States. In vacating that portion of the Seventh Circuit decision, the Supreme Court held, "[b]y directing the Board to impose a minimum backpay award without regard to the employees' actual economic losses or *legal availability for work*, The Court of Appeals plainly exceeded its limited authority under the Act." *Sure-Tan*, 467 U.S. at 90405 (emphasis added). Based on that italicized phrase, even if this were all the Supreme Court had held on the question, I would nonetheless conclude that *Sure-Tan* compels us to vacate the Board's decision overruling the logical result reached by the administrative law judge. But the Supreme Court did not stop there.

The Supreme Court explicitly rejected the position taken by the NLRB and the majority in today's decision when it held, "[s]imilarly, in computing backpay, the employees must be deemed 'unavailable' for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States." *Id*, at 903. It is difficult to see how the Court could more clearly have decided the question oppositely to the Board's resolution in the decision we now review.

Read in context, the sentence speaks even more plainly:

> Nonetheless, as the Court of Appeals recognized, the implementation of the Board's traditional remedies at the compliance proceedings must be conditioned upon the employees' legal readmittance to the United States. In devising remedies for unfair labor practices, the Board is obliged to take into account another equally important Congressional objective-to wit, the objective of deterring unauthorized immigration that is embodied in the INA. By conditioning the offers of reinstatement on the employees' legal reentry, a potential conflict with the INA is thus avoided. *Similarly, in computing backpay, the employees must be deemed "unavailable" for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States.*

Sure-Tan, 467 U.S. at 902-03 (emphasis added) (internal quotation marks and citation omitted). In a feat of *ipse dixit*, the logic of which escapes me, the majority today declares that this paragraph demonstrates that the Supreme Court's holding in the final sentence has nothing to do with the issues before us. The Supreme Court in a rather concise paragraph makes it plain that it is dealing with the possibility of affording a backpay remedy to illegal aliens. It further makes it plain that such a remedy is not an option when the employees are "deemed unavailable" for work and that such a period of. deemed unavailability occurs "during any period when they were not lawfully entitled to be present and employed in the United States." The majority refuses to apply this rather simple statement of law that a lack of legal presence in the country constitutes unavailability for employment to the anonymous person known as Castro. The majority reaches this conclusion by creating a dichotomy-never mentioned by the Supreme Court-between illegal aliens who have departed the United States without legally re-entering and those like the illegal alien known as

Castro who may or may not have interrupted the continuity of their illegal stay in the country. *See* Maj. Op. at 14-15. Having created the dichotomy heretofore unrecognized by the Supreme Court, the majority then refuses to apply the sentence by its terms to persons in the newly minted subcategory, apparently because the Supreme Court did not separate out the subcategory and reaffirm the applicability of the stated principle to it. The majority does not recognize that neither does the Court ever suggest that application is limited to employees whose legal unavailability arises from an interrupted period of illegal presence as opposed to a continuous one.

The majority accuses me of taking a sentence out of context from the Supreme Court's decision. For its proposition that the quoted sentence is not applicable, the majority expends several pages of type and suggests ways of supplying emphases not present in the opinion to get around the apparent meaning of the Supreme Court's language that employees must be deemed 'unavailable' for work (and the accrual of backpay therefore tolled) during any period when they were not lawfully entitled to be present and employed in the United States." Read in context, read out of context, or read both ways and compared, the majority is left with no way of dealing with the High Court's plain statement. I invite the reader to review the phrase "not lawfully entitled to be present and employed" in its original context. I further suggest that contextual illumination for this sentence of the High Court's opinion is supplied in the Court's analysis of the Seventh Circuit decision that it was reversing. The High Court described that decision as "[r]ecognizing that the discharged employees would most likely not have been lawfully available for employment and so would *receive no backpay award at all ....*" *Sure-Tan*, 467 U.S. at 890 (emphasis added). Thus, the governing factor in determining eligibility for backpay awards is not mere presence, but also the lawful entitlement to be present.

The majority fundamentally errs in rewriting the phrase "not lawfully entitled to be present and employed in the United States" so that it has no application to a case like the present one in which an alien fits precisely within the situation described by that phrase: *i.e.*, an alien who is present in the United States but without legal permission to be present and without a legal right to be employed here. In effect, that view rewrites the phrase to read "not present, and not lawfully entitled to be present in the United States." It adds the "not present" limitation and deletes the "not lawfully entitled to be ... employed" requirement. That rewriting of *Sure-Tan* leads the majority astray.

The rewriting of *Sure-Tan* endorsed by the majority appears to have first occurred in *Bevles Co. v. Teamsters Local* 986, 791 F.2d 1391, 1393 (9th Cir. 1986). Before that time, even its critics believed that *Sure-Tan* meant what it said. *See Sure-Tan*, 467 U.S. at 911 (Brennan, J., dissenting) (criticizing the majority for holding that undocumented aliens "are effectively deprived of any remedy"); *Felbro, Inc.*, 274 N.L.R.B. 1268, 1269 (1985) (stating that the undocumented aliens in *Felbro*, who had remained in the country, would be affected by *Sure-Tan); Local 512, Warehouse & Office Workers' Union v. NLRB*, 795 F.2d 705, 725 (9th Cir. 1986) *("Felbro")* (Beezer, J., dissenting in part); Terry A. Bethel, *Recent Labor Law Decisions of the Supreme Court*, 45 Md. L. Rev. 179, 196 (1986) *("Sure-Tan* . . . deprive[s] undocumented employees of any effective remedy for unlawful discrimination . . ."); Lucinda M. Cardinal, Note, *Immigrqtion Reform. Solving the "Problem" of the Illegal Alien in the American Workforce*, 7 Cardozo L. Rev. 223, 244 (1985) *("Sure-Tan* mandates that illegal aliens do not receive the remedies granted their legal coworkers."); John W. Sagaser, Note, *Rights Without A Relations-Illegal Aliens Under the National Labor Relations Act*, 27 B.C.L. Rev. 407, 452 (1986) ("By denying a minimum backpay award, the Court in effect deprives illegal alien workers of any remedy."). In *Bevles*, the court was reviewing an arbitrator's award; the issue was whether the arbitrator's decision showed a

"manifest disregard of the law," and the court was not entitled to reverse erroneous legal conclusions. *See* 791 F.2d at 1392-93 & n.2. In not following *Sure-Tan*, the court ignored the lawful presence requirement and considered whether the aliens in that case were lawfully entitled to be employed. The court clearly relied on the fact that-piior to the passage of IRCA-it was not a criminal act for employers to hire undocumented aliens. *See id.* at 1393. The court also considered the effect of section 2805 of the California Labor Code, which prohibited employers from knowingly employing undocumented aliens if it would affect lawful workers. Because an unreversed state court decision had previously held section 2805 unconstitutional, the court did not fault the arbitrator for disregarding it. *See id.* at 1393-94.

The focus on the lawful right to seek employment continued in *Felbro*. The Ninth Circuit there again relied on the fact that it was not illegal for an employer to hire undocumented aliens. Because the *Sure-Tan* employees could not lawfully reenter the United States, the court noted that they were "unavailable for work during the backpay period." *Felbro*, 795 F.2d at 719. The court reasoned that being present in the United States did not create unavailability because "[t]here is no provision 'in the INA making it unlawful for an employer to hire an alien who is present or working in th6 United States without appropriate authorization.'" *Id.* (quoting *Sure-Tan* 467 U.S. at 892-93).

Since the passage of IRCA, both the Second and Ninth Circuits have registered concern over IRCA's effect on their misguided attempts to limit *Sure-Tan*. In *Rios v. Enterprise Assn Steamfitters Local Union 638*, 860 F.2d 1168 (2d Cir. 1988), the Second Circuit was careful to explain that recovery was only permissible because the claimants were "available for employment during the entire period covered by the backpay order, since such employment would have violated no immigration law." *Id.* at 1173. The court explicitly reserved the question of whether IRCA would affect later claims. *See id.* at 1172 n.2. The Ninth Circuit likewise has

questioned the viability of its *Felbro* decision after IRCA. *See EEOC v. Hacienda Hotel*, 881 F.2d 1504, 1517-18 n.11 (9th Cir. 1989). In a further Second Circuit case postdating the enactment of IRCA, that circuit continued to follow its pre-enactment precedent. *See NLRB v. AP.R.A Fuel Oil Buyers Group, Inc.*, 134 F.3d 50 (2d Cir. 1997). However, as Judge Jacobs clearly demonstrated on dissent, without the slender reed of the employer's legal capacity to hire undocumented aliens, "an undocumented alien is not' lawfully available for employment."' *Id.* at 62 (Jacobs, J., dissenting) (quoting *Sure-Tan*, emphasis supplied by Judge Jacobs). As Judge Jacobs pointed out, the remedy of backpay to the alien ineligible for employment "is foreclosed by *Sure-Tan* and IRCA *Id.*

Like the Second Circuit in *AP.R.A Fuel*, the majority today offers nothing that should lead us to believe that the Supreme Court in *Sure-Tan* meant anything other than what it said; and what it said disqualifies the illegal alien in this case from an award of backpay.

Conclusion

For the reasons set forth above, I would grant Hoffman Plastic's petition for review of the Board's order, and deny the cross-petition for employment. I respectfully dissent.

NOTICE: This opinion is subject to formal revision before publication in the Board volumes of NLRB decisions. Readers are requested to notify the Executive Secretary. National Labor Relations Board. Washington. D.C. 20570. of any typographical or other formal errors so that corrections can he included in the bound volumes.

Hoffman Plastic Compounds, Inc. *and* Casimiro Arauz.
Case 21-CA-26630

September 23, 1998

SECOND SUPPLEMENTAL DECISION AND ORDER

BY MEMBERS FOX, LIEBMAN, AND HURTGEN

On November 12, 1993, Administrative Law Judge Jay R. Pollack issued the attached supplemental decision. The General Counsel filed exceptions and a supporting brief, and the Respondent filed an answering brief. The General Counsel filed a reply brief.

The National Labor Relations Board has delegated its authority in this proceeding to a three-member panel.

The Board has considered the supplemental decision and the record in light of the exceptions and briefs and has decided to affirm the judge's rulings, findings, and conclusions only to the extent consistent with this Second Supplemental Decision and Order.

The issue presented in this case is the effect of the status of discriminatee Jose Castro as an undocumented worker on the extent of the make-whole remedies available to him. In *A.P.R.A. Fuel Oil Buyers Group*, 320 NLRB 408 (1995), affd. 134 F.3d 50 (2d Cir. 1997), the Board concluded that the most effective way to accommodate and further the immigration policies embodied in the Immigration Reform and Control Act of 1986[2] is to provide the protections and remedies of the

[2] 8 U.S.C. § 1324a et seq.

National Labor Relations Act (NLRA) to undocumented workers in the same manner as to other employees, to the extent that such enforcement does not require or encourage unlawful conduct by either employers or individuals. Applying that principle to the facts of this case, we find that discriminatee Jose Castro is entitled to limited backpay, as provided below.

I. BACKGROUND

A. The Respondent Unlawfully Laid Off Jose Castro

On January 31, 1989, the Respondent laid off Jose Castro, Moises Gonzalez, and several other employees. The Board thereafter found that the Respondent had unlawfully laid off Castro, Gonzalez, and other employees. The Board ordered the Respondent, inter alia, to offer these individuals reinstatement to their former positions and to make them whole for any losses they may have suffered because of the unlawful layoffs. Hoffman Plastic Compounds, 306 NLRB 100 (1992). A controversy thereafter arose over compliance with the terms of the Board's Order, and the Board accordingly conducted a compliance proceeding.[3]

B. The Board's Compliance Proceeding

On June 14, 1993, Castro testified at the Board's compliance proceeding that he is not a citizen of the United States. The Respondent's counsel thereafter posed the following question to Castro: "What kind of documents do you have that authorize you to work in the United States?" The judge sustained the General Counsel's objection to that question. The judge nevertheless permitted the Respondent's

[3] On July 29, 1994. the Board issued a Supplemental Decision and Order adopting the judge's recommended Order in the compliance proceeding with respect to discriminatee Moises Gonzalez. *Hoffman Plastic Compounds*, 314 NLRB 683 (1994). The Board further ordered that the portion of the judge's supplemental decision relating to discriminatee Jose Castro be severed and subject to further consideration.

counsel to further question Castro, by way of an offer of proof, as to whether he was authorized to work legally in the United States. Castro responded that he works in the U.S. based on a birth certificate that is not his own. Castro stated that he was born in Mexico, while the birth certificate is for an individual born in El Paso, Texas. Castro testified that "[t]he birth certificate was loaned to me so that I can secure a job because I have no work." Castro additionally testified that he presented this birth certificate to the Respondent in order to obtain employment.

It was further disclosed at the compliance proceeding that the Respondent sent Castro a recall letter by certified mail on March 10, 1989. The letter stated:

> Please contact [Plant Manager] Robert Wilkerson as to your availability for work no later than 4:00 P.M., Monday, March 13, 1989.
>
> It looks like we'll need a few men soon.

The letter was sent to the home of Castro's niece, a location which he used as his mailing address. Castro did not respond to the letter. He testified that he never received the letter and that his niece never told him about it.

The judge, who issued his supplemental decision in this case before the Board issued its decision in *A.P.R.A. Fuel*, supra, concluded that Castro was not entitled to either reinstatement or backpay. The judge reached this decision in light of his reading of *Sure Tan, Inc. v. NLRB*, 467 U.S. 883 (1984), and his findings that Castro lacked legal authorization to work in the United States at any time and that it would be unlawful under the Immigration Reform and Control Act of 1986 (IRCA), for the Respondent to employ him without such authorization. The judge also relied on his finding that Castro had gained employment with the Respondent by proffering fraudulent documentation and that it had not been shown that he had applied for authorization to work in this country.

In light of the judge's finding that Castro was ineligible for reinstatement and backpay, the judge found it unnecessary to determine whether the Respondent satisfied its obligation to offer reinstatement to Castro and thereby tolled its remedial obligation. We commence our analysis by addressing this question.

II. DISCUSSION

A. The Respondent Did Not Make a Valid Offer of Reinstatement to Castro

It is well established that an offer of employment must be specific, unequivocal, and unconditional in order to toll backpay and satisfy a respondent's remedial obligation.[4] We cannot conclude that the Respondent's letter dated March 10, 1989, offering reinstatement to Castro satisfied these requirements. The Respondent's offer letter, which we have set forth above, does not designate a specific job or even a job classification. Further, the Respondent's letter does not unequivocally make an express offer of a job to Castro, but rather vaguely provides that "it looks like we'll need a few men soon." In these circumstances, we must find that the Respondent's offer of reinstatement was neither specific nor unequivocal, and we accordingly conclude that the Respondent did not make a valid offer of reinstatement to Castro in its letter of March 10, 1989. *Holo-Krome Co.*, supra at 454.

In the absence of a valid offer, the Respondent's remedial obligation to reinstate Castro remains, and backpay has not been tolled. The Respondent argues and the judge found, however, that the Respondent's remedial obligation has been extinguished in light of Castro's immigration status

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[4] *See, e.g., Hoffman Plastic Compounds*, supra at 683; *Holo-Krome Co.*, 302 NLRB 452, 454 (1991), enf. denied on other grounds 947 F.2d 588 (2d Cir. 1991), rehearing denied 954 F.2d 108 (2d Cir. 1992).

as adduced at the compliance proceeding. We accordingly turn to consideration of this issue.

B. Remedial Obligations Under the NLRA in Light of U.S. Immigration Law

In *A.P.R.A. Fuel*, supra at 408, the Board considered the effect of discriminatees' alleged status as undocumented workers on the extent of the make-whole remedies available to them in light of the enactment of IRCA, which, for the first time, established sanctions for employer conduct, prohibiting employers from knowingly hiring or continuing to employ undocumented aliens.[5] That statute lists categories of documents that may be used to establish an employee's identity and eligibility to work. In order to meet its IRCA obligations, an employer must examine the documents presented by a newly hired employee to establish his identity and work eligibility and must attest that it has done so and that the documents appear to be genuine and relate to that employee.[6] Further investigation of the matter is warranted only when an employer has reason to know that an applicant is not authorized to work for it.[7]

In *A.P.R.A. Fuel*, after reviewing the objectives of IRCA and the National Labor Relations Act, the Board concluded, for the reasons there set forth, that the most appropriate way to harmonize the statutes was to apply the following rules to make-whole relief for employees who have been discharged for reasons unlawful under the Act and who had not previously provided valid documents establishing that they may lawfully work in the United States. The Board held that, in such a case, it would issue an order requiring reinstatement

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[5] 8 U.S.C. § 1324a(a).

[6] 8 U.S.C. § 1324a(b).

[7] See *Collins Food International, Inc. v. U.S. Immigration & Naturalization Service*, 948 F.2d 549, 553-555 (9th Cir. 1991); and *Mester Mfg. Co. v. INS.*, 879 F.2d 561, 566-567 (9th Cir. 1989).

and backpay, but the respondent employer's obligation to reinstate would be conditioned on the discriminatees' production, within a reasonable time, of documents enabling the respondent to meet its obligation under IRCA to verify the discriminatees' eligibility for employment in the United States. *Id.* at 415. The Board further held that backpay should be tolled either as of the date the discriminatees are reinstated subject to compliance with the respondent employer's obligations under IRCA or when, after a reasonable period of time, they fail to produce the documents required by IRCA.[8]

In *A.P.R.A. Fuel*, the Board stated in dictum that it would extend its after-acquired knowledge rule to discharge cases concerning undocumented workers. Under this rule, "if an employer satisfies its burden of establishing that the discriminatee engaged in unprotected conduct for which the employer would have discharged any employee, reinstatement is not ordered and backpay is terminated on the date the employer first acquired knowledge of the misconduct."[9] The employer in *A.P.R.A. Fuel*, however, had known, when it hired the employees it later unlawfully discharged, that they were not legally entitled to work in the United States. Therefore, it was precluded from asserting that it would have terminated the discriminatees on the basis of their immigration status.

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[8] The Board noted that its reasons for concluding that this remedy represented an appropriate accommodation of the purposes of the Act with the purposes of IRCA reflected the rationale in the Ninth Circuit's opinion in *Garment Workers Local 512 (Felbro) v. NLRB*, 795 F.2d 705 (9th Cir. 1986).

[9] 320 NLRB at 416 fn. 44, citing *Marshall Durbin Poultry Co.*, 310 NLRB 68, 70 (1993), enfd. in pertinent part 39 F.3d 1312 (5th Cir. 1994), and *John Cuneo, Inc.*, 298 NLRB 856, 856-857 (1990).

C. The Remedial Obligation Owed to Discriminatee Jose Castro

The Respondent contends that Castro is not entitled to reinstatement and backpay because he disclosed at the compliance proceeding that at no time has he been lawfully authorized to work in the United States.[10] It contends that the Supreme Court's decision in *Sure-Tan* and the later enactment of IRCA preclude any such remedy. The Respondent's arguments in this regard are virtually identical to the arguments that the Board rejected in *A.P.R.A. Fuel*, and we adhere to that precedent.

However, we find merit in the Respondent's defense based on the after-acquired knowledge rule referred to in *A.P.R.A. Fuel*, as noted above. Specifically, the record supports the Respondent's contention that it would not have offered Castro initial employment had it known of his unauthorized immigration status. In this connection, the record shows, and the judge found, that the Respondent attempted to comply with IRCA when it hired Castro, and that the Respondent did not learn until the back-pay hearing that Castro used fraudulent identification in applying for employment. In this respect, the instant case is distinguishable from *A.P.R.A. Fuel*, in which the employer was on notice from the outset of the employees' ineligibility for employment and was therefore precluded from raising an

[10] As set forth in sec. I,B, supra, this information was elicited in a series of questions to which counsel for the General Counsel objected at the outset. The judge indicated he agreed with that objection, but then permitted the Respondent's counsel to ask the questions as part of an 'offer of proof." At the end of the questioning, the judge stated he was sustaining the objection. Nonetheless, in his written decision, he made factual findings based on Castro's admission. No exception has been filed to the receipt of that evidence into the record or to the judge's factual finding that Castro obtained employment by using a fraudulent birth certificate. Therefore there is no issue before us as to whether the judge should have barred the Respondent from questioning Castro about his eligibility for employment.

after-acquired knowledge defense. In addition, the record shows that the Respondent's policy of compliance with IRCA is evidenced in its employment application, which poses the following question to applicants: "Are you prevented from lawfully becoming employed in this country because of Visa or Immigration Status?"[11] Finally, there is no evidence that the Respondent knowingly hired any employee in violation of IRCA. Accordingly, under *Marshall Durbin*, supra, and *John Cuneo*, supra, Castro is not entitled to reinstatement, and backpay shall terminate on June 14, 1993, the date that the Respondent learned that Castro used fraudulent identification to gain employment.

ORDER

The National Labor Relations Board orders that the Respondent, Hoffman Plastic Compounds, Inc., Paramount, California, its officers, agents, successors, and assigns, shall

(a) Pay to Jose Castro backpay in the amount set forth opposite his name, plus interest computed in the manner prescribed in *New Horizons for the Retarded*, 283 NLRB 1173 (1987), less tax withholdings required by Federal and state laws, as required by the Board's Order of January 22, 1992:

Jose Castro $66,951[12]

[11] In his exceptions, the General Counsel points Out that Castro answered this question on his application in the affirmative and argues that the Respondent was therefore aware of Castro's unauthorized immigration status at the time it hired him. We find no merit in this contention, because the record clearly shows that the Respondent only hired Castro after he had supplied, as the Respondent required, documents that appeared to be genuine and relate to the person presenting them.

[12] The amount we have ordered to be paid to Castro, with interest, is that set forth in the March 4, 1993 second amended compliance specification, computing backpay due to Castro through the last quarter of 1992. We note that the Respondent in its answer and first amended answer to the compliance specification and first amended compliance

(b) Within 21 days after service by the Region, file with the Regional Director a sworn certification of a responsible official on a form provided by the Region attesting to the steps that Respondent has taken to comply.

Dated, Washington, D.C. September 23, 1998

Sarah M. Fox, Member

specification did not dispute the General Counsel's method of calculation of backpay benefits owed to Castro. At the compliance hearing held on March 4, 1993, however, the Respondent's counsel "dispute[d] the backpay calculations and the backpay periods specified in the second amendment to the compliance specification." We find, based on our review of the record, that the General Counsel's method of calculation of backpay owed to Castro is valid and reasonable. *See Kansas Refined Helium Co.*, 252 NLRB 1156, 1157 (1980), enfd. 683 F.2d 1290 (10th Cir. 1982). Thus, the General Counsel computed gross backpay by multiplying Castro's hourly rate of pay by the average hours per week and overtime that Castro would have worked during the backpay period in light of his previous work schedule, and factored in wage rate increases based on those received by an employee, Carlos Montalvo, who worked in Castro's job classification during the back-pay period.

We additionally have considered and rejected the Respondent's argument that Castro is not entitled to backpay because he cannot, according to the Respondent, make reasonable efforts to find interim work in light of his undocumented status. The record shows that Castro worked as a carpenter's helper, gardener, day laborer, and mechanic's assistant following his unlawful layoff, and in addition unsuccessfully applied for work at certain factories. Thus, we find that Castro satisfied his obligation to make reasonable efforts to find interim work following his unlawful layoff by the Respondent.

As set forth above, we have ordered payment of backpay due Castro through the last quarter of 1992. The backpay specification, as amended, alleges that the Respondent's backpay liability owed to Castro is continuing since he has not been tendered a valid offer of reinstatement. However, we have found, supra, that Castro is not entitled to an offer of reinstatement and that the backpay period terminates on June 14, 1993. Therefore, the only remaining backpay due Castro is for the period of January 1 through June 14, 1993.

Wilma B. Liebman, Member

(SEAL) NATIONAL LABOR RELATIONS BOARD

MEMBER HURTGEN, dissenting.

My colleagues award backpay (albeit tolled) to discrimtnatee Castro. I would not do so.

In *Sure-Tan, Inc. v. NLRB*, the Supreme Court declared that backpay was inappropriate "during any period when [employees] were not lawfully entitled to be present and employed in the United States."[1] In addition, since *Sure-Tan*, Congress passed the Immigration Reform and Control Act of 1986 (IRCA) which made it unlawful for an employer to employ persons who lack appropriate authorization to work in the U.S.

I now apply these principles to the instant case. The case involves an employee who is not lawfully entitled to work in the U.S., and it would be unlawful for the Respondent to employ him. For these reasons, and those set forth in the dissent in *A.P.R.A. Fuel Oil Buyers Group*,[2] I would not award backpay to Castro.

Dated, Washington, D.C. September 23, 1998

Peter J. Hurtgen, Member

NATIONAL LABOR RELATIONS BOARD

Peter Tovar, Esq., for the General Counsel..
Ryan McCortney, Esq. (Sheppard, Midlin, Richter & Hampton), of Los Angeles, California, for the Respondent.

[1] 467 U.S. 883, 903 (1984).

[2] 2320 NLRB 408, 419 (1995).

SUPPLEMENTAL DECISION

STATEMENT OF THE CASE

JAY R. POLLACK, Administrative Law Judge. I heard this case in trial at Los Angeles, California, on March 4 and 5 and June 14, 1993. On January 22, 1992, the Board issued its Decision and Order (306 NLRB 100) finding that the Respondent, Hoffman Plastic Compounds, Inc., had violated Section 8(a)(1) and (3) of the National Labor Relations Act. The Board ordered, inter alia, that the Respondent offer Casimiro Arauz, Jose Castro, and Moises Gonzalez full reinstatement to their former positions and that the Respondent make whole Mauricio Mejia, Arauz, Castro, and Gonzalez for any loss of earnings they may have suffered because of their unlawful layoffs. On April 10, 1992, the Respondent and General Counsel entered into a stipulation whereby the Respondent waived its right under Section 10(e) and (f) of the Act to contest the propriety of the Board's Order issued on January 22, 1992, or the findings of fact and conclusions of law underlying that Order. A controversy having arisen over the amount of backpay due and the terms of the Board's Order, on September 30, 1992, the Regional Director for Region 21 of the Board issued a compliance specification and notice of hearing. On October 4, 1993, the Respondent and the General Counsel reached agreement on the backpay for Mejia and that settlement has been satisfied. On October 27, 1993, the Respondent and Arauz reached settlement on Arauz' claims. Counsel for the General Counsel approved the settlements on October 29, 1993. I approved the settlement on November 3, 1993, and issued an order granting the parties' joint motion to withdraw the allegations of the compliance specification concerning Arauz and Mejia.

The issues remaining for decision are (1) whether the Respondent made valid offers of reinstatement to Castro and Gonzalez in March 1989; (2) whether Gonzalez voluntarily quit his employment in March 1989; and (3) whether the Respondent should be ordered to offer Castro, an

undocumented worker, reinstatement to his former job. After resolution of these principal issues, there remains the computation of backpay and the resolution of some subsidiary issues necessary thereto.

All parties have been afforded full opportunity to appear, to introduce relevant evidence, to examine and cross-examine witnesses, and to file briefs. On the entire record, from my observation of the demeanor of the witnesses, and having considered the posthearing briefs of the parties,[1] I make the following

Findings and Conclusions

In the underlying case, on January 31, 1989, the Respondent laid off nine employees. The Board found that the layoff was for economic reasons and would have occurred regardless of the union organizing activities. However, the Board agreed with Administrative Law Judge Gordan J. Myatt that the Respondent in order to rid itself of known union supporters, discriminatorily selected union adherents for layoff The Board and the judge found that Maurico Mejia was recalled in March 1989 and found it unnecessary to order reinstatement.

Although the record indicated that the Respondent sent recall letters to Casimiro Arauz, Moises, Gonzalez, and Jose Castro, the effect of the recall letters was left to the compliance stage of the proceeding.

On March 10, 1989 the Respondent sent recall letters to the laid off employees including the two discriminatees at issue, Castro and Gonzalez. The letters stated:

> Please contact Robert Wilkerson as to your availability for work no later than 4:00 P.M., Monday, March 13, 1989.
>
> It looks like we'll need a few men soon.

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[1] Briefs were filed by the Respondent and General Counsel on November 1, 1993.

Moises Gonzalez testified that he met with Wilkerson on March 13 with his supervisor Ramon Rosas acting as interpreter. According to Gonzalez he was told he could come back to work if he dropped his claim (the instant charge) against the Respondent. Gonzalez agreed to begin working on the graveyard shift that evening. Gonzalez did not show up for work. He testified that his daughter was ill and that he had to take her to the hospital.[2] Gonzalez testified that on Monday, Wilkerson called him and said that the owner did not want Gonzalez and that there was no job for him.

Wilkerson testified that he offered Gonzalez work on the graveyard shift and that Gonzalez accepted the offer. Gonzalez was scheduled to work that Saturday and Sunday evenings. According to Wilkerson, Gonzalez did not show up for work or call in. On the following Monday, after Gonzalez did not call in, Wilkerson discharged Gonzalez for abandoning his job. Wilkerson denied ever telling Gonzalez not to come to work. Wilkerson had a position open for Gonzalez. Both Wilkerson and Rosas denied that there was any mention of dropping the claim or charge. I credit their denials. First, Gonzalez made no mention of this condition on the recall to work in his 1990 testimony. Second, Wilkerson's testimony was corroborated by his notes and business records. Third Wilkerson's testimony was corroborated by that given by Rosas. I found Rosas to be a very credible witness. Thus I credit Wilkerson's and Rosas' testimony over that of Gonzalez.

Rosas testified that Gonzalez came and asked for work and that the two of them went to speak with Wilkerson. Wilkerson told Gonzalez that he could work on the graveyard shift and Gonzalez agreed to work that evening. Gonzalez did not show up for work on either Saturday or Sunday evening. Rosas reported these facts to Wilkerson on Monday morning.

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[2] In the underlying case, Gonzalez testified that he took his son to the hospital.

Rosas further testified that shortly thereafter he saw Gonzalez and asked what had happened. Gonzalez answered that he had "messed up."

I find that backpay for Gonzalez was terminated as of March 13,1989, when he failed to return to work. The credible testimony of Rosas and Wilkerson shows that Gonzalez, after agreeing to work, did not show up for work or call in to explain his absences. After 3 days, Wilkerson could, in accordance with his past practice as to consecutive absences, lawfully assume that Gonzalez had abandoned his employment. The fact that the Respondent was presented with the opportunity to terminate its backpay liability and/or the opportunity to discharge Gonzalez is of no legal consequence. *Klate Holt Co.*, 161 NLRB 1606, 1612 (1966); and *P.G. Berland Paint City, Inc.*, 199 NLRB 927, 927-928 (1972).

The General Counsel argues that Gonzalez was not fully reinstated and, therefore, could turn down this job. I find no evidence to support that allegation. The evidence indicates that Gonzalez was offered the same job he had before the layoffs and that he told Rosas that he was "happy" with the offer. Although no mention was made to Gonzalez that he would return to work without prejudice to his seniority, the failure to do so does not invalidate the offer and acceptance. *National Screen Products Co.*, 147 NLRB 746, 747 (1964).

Gonzalez would have been discharged for this conduct regardless of the prior union activity. The Respondent treated the unexplained failure to report for work as grounds for immediate termination. The evidence shows that the Respondent would have discharged any employee based on the unexplained failure to report to work for 3 days. No other employees known to have engaged in similar conduct were retained. Animal Humane Society 287 NLRB 50 (1987).

The compliance specification, as amended, assumes that Gonzalez would have received raises every 6 months. However, I find that his backpay period terminated prior to the time he would have received a raise.

The record reveals that Castro was sent a recall letter on March 10, 1989. The letter was sent by certified mail to the address he had given the employer and was signed for by his niece. Castro has used his niece's home as his mailing address for many years and continues to do so. Castro did not respond to the letter. He testified that he never received the letter and that his niece never told him about the letter.

According to Castro, 2 years after his discharge he returned to the Respondent's plant and asked for work. Castro testified that Wilkerson turned him down because he did not speak English. Wilkerson credibly denied this incident. Wilkerson testified that he never saw or spoke with Castro after the layoff of January 1989. According to Wilkerson, one half of the employees do not speak English. He hired Castro in 1988 even though the employee spoke no English.

The Respondent discovered at the backpay hearing that Castro used fraudulent identification in applying for work with the Respondent. Castro used a fraudulent birth certificate as identification for immigration purposes.[3] Castro testified that he used a friend's birth certificate and that he uses that certificate to work in the United States. Castro also had a California driver's license and a social security card evidently obtained by use of the fraudulent birth certificate. He testified that he uses the false identification in order to work in this country. Castro is not authorized to work in this country. The Respondent contends that since it did not know that Castro was not authorized to work it cannot be now ordered to employ him in contradiction of the immigration laws.

In *Sure-Tan, Inc. v. NLRB*, 467 US 883 (1984) the Supreme Court held that undocumented workers are employees within the meaning of the Act. However, discriminatees will be deemed unavailable for work during any period in which they are not lawfully entitled to be

[3] Castro was born in Mexico and the birth certificate is for someone born in El Paso, Texas.

present and employed in the United States. Backpay is, therefore, tolled during any period when a discriminatee is not lawfully authorized to work in this country. Subsequent to *Sure-Tan* Congress passed the Immigration Reform and Control Act of 1986 (IRCA) making the employment of unauthorized aliens unlawful and imposing sanctions on employers who knowingly hire them.

In the instant case, Castro was hired subsequent to the effective date of IRCA (November 6, 1986) by using false identification. The record shows that the Respondent attempted to comply with IRCA. Castro admitted that at no time was he lawfully entitled to work in this country. Thus, I find that under the Supreme Court's ruling in *Sure-Tan* Castro is not entitled to backpay as of the date of the hearing. However, as noted above, the Respondent has not yet offered reinstatement to Castro. The issue is whether the Respondent should be ordered to reinstate Castro conditioned on his obtaining lawful authorization to work in this country.

The Respondent argues that it attempted to comply with IRCA and only hired Castro based on the false information and identification supplied to it. Thus, the Respondent contends that it never would have hired Castro had the facts been known and that Castro should not be entitled to any remedy.

In Fiber Glass Systems, 298 NLRB 504, 506 (1990), the Board followed the Circuit Court of Appeals for the Fifth Circuit and ruled that the employer could show in the compliance stage of the proceedings that the discriminatee never would have been hired. However, the Board indicated that it was following the court's remand as the law of the case and was making no determination on the issue.[4] The Board has not since addressed this issue.

[4] See *W. Kelly Gregory*, 207 NLRB 654 (1973); *National Packing Co.*, 147 NLRB 446 (1964); and *Southern Airways*, 124 NLRB 749 (1959).

Since the Respondent did not knowingly hire Castro in violation of IRCA, it appears that the best result would be not to order the Respondent to make an offer of reinstatement. Castro was not lawfully authorized to work in the United States at the time of his hire, his termination, the unfair labor practice hearing, nor the backpay hearing. Castro and the General Counsel had the opportunity to show that Castro was now authorized to work in this country but did not do so. Further, there is no evidence that Castro has made application for authorization to work in this country. The presumption is that Castro will continue to lack authority to work lawfully in this country. Thus, a reinstatement order, even conditioned on Castro obtaining authorization to work in this country, would be putting form over substance. A proper remedy should not order actions that would be futile.

I find the cases cited by the General Counsel to be inapposite. In *A.P.R.A. Fuel Oil Buyers Group*, 309 NLRB 480 (1992), cited by the General Counsel, the Board ordered reinstatement of two employees who were not authorized to work in this country. However, in each instance the employer knew at the time of hire that the employee was not authorized to work and had hired him in violation of IRCA. *In E.E.O.C. v. Hacienda Hotel*, 881 F.2d 1504 (9th Cir. 1989), the Court of Appeals for the Ninth Circuit ordered backpay for undocumented workers whose claims arose prior to the effective date of IRCA. In *Del Rey Tortilleria. Inc. v. NLRB.*, 976 F.2d 1115 (7th Cir. 1992), the Seventh Circuit Court of Appeals held that undocumented workers were not entitled to backpay and reinstatement. The workers there had also been hired prior to the effective date of IRCA.

In the instant case, there is nothing to suggest that the Respondent hired any employee in violation of IRCA. With respect to Castro, the employee was required to file an I-9 form and submit proper identification. The fraudulent identification was not apparent and there is nothing to suggest that the Respondent knew of Castro's status until the last day of the hearing. The Respondent raised Castro's status as an

undocumented worker after Castro's admissions at the hearing. Finally, in the above-cited cases the Board left the remedy issues to the compliance stage of the proceedings. Here we are at the compliance stage and Castro is still not authorized to work in the United States. Under these circumstances, I believe the litigation should come to an end and will not order a futile reinstatement remedy.

On these findings of fact and conclusions of law and on the entire record, I issue the following recommended[5]

SUPPLEMENTAL ORDER

It is ordered that the Respondent, Hoffman Plastic Compounds, Inc., forthwith pay to each of the following persons backpay in the amounts set opposite his name, plus interest computed in the manner prescribed in *New Horizons for the Retarded*, 283 NLRB 1173 (1987), as required by the Board's Order of January 22, 1992:

Jose Castro	$ 0.00
Moises Gonzalez	1638.50

Dated, November 12, 1993

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[5] All motions inconsistent with this recommended supplemental order are denied. If no exceptions are filed as provided by Sec. 102.46 of the Board's Rules and Regulations, the findings, conclusions, and recommended Order shall, as provided in Sec. 102.48 of the Rules, be adopted by the Board and all objections to them shall be deemed waived for all purposes.

UNITED STATES COURT OF APPEALS

FOR THE DISTRICT OF COLUMBIA CIRCUIT

No. 98-1570 September Term, 1999

Hoffman Plastic Compound, Inc.

Petitioner,

v.

National Labor Relations Board,

Respondent.

United States Court of Appeals
For District of Columbia Circuit
Filed
Jun 16 2000
Clerk

BEFORE Edwards, Chief Judge; Silberman, Williams, Ginsburg, Sentelle, Henderson, Randolph, Rogers, Tatel and Garland, Circuit Judges

ORDER

Upon consideration of petitioner's petition for rehearing en banc, the response thereto, and the vote by a majority of the judges of the court in regular active service in favor of the petition, it is

ORDERED that the petition be granted. This case will be reheard by the court sitting en banc. It is

FURTHER ORDERED that the judgment filed herein on March 17, 2000 is hereby vacated.

An order governing further proceedings will issue at a later date.

Per Curiam

FOR THE COURT:
Mark J. Langer, Clerk

By: /s/

Robert A. Bonner
Deputy Clerk

Circuit Judge Garland did not participate in this matter.

§ 1254. Courts of appeals; certiorari; certified questions

Cases in the courts of appeals may be reviewed by the Supreme Court by the following methods:

(1) By writ of certiorari granted upon the petition of any party to any civil or criminal case, before or after rendition of judgment or decree;

(2) By certification at any time by a court of appeals of any question of law in any civil or criminal case as to which instructions are desired, and upon such certification the Supreme Court may give binding instructions or require the entire record to be sent up for decision of the entire matter in controversy.

(June 25, 1948, c. 646, 62 Stat. 928; June 27, 1988, Pub.L. 100-352, § 2(a), (b), 102 Stat. 662.)

8 U.S.C. § 1324a. Unlawful employment of aliens

(a) Making employment of unauthorized aliens unlawful

(1) In general

It is unlawful for a person or other entity—

(A) to hire, or to recruit or refer for a fee, for employment in the United States an alien knowing the alien is an unauthorized alien (as defined in subsection (h)(3) of this section) with respect to such employment, or

(B)(i) to hire for employment in the United States an individual without complying with the requirements of subsection (b) of this section or (ii) if the person or entity is an agricultural association, agricultural employer, or farm labor contractor (as defined in section 1802 of Title 29) to hire, or to recruit or refer for a fee, for employment in the United States an individual without complying with the requirements of subsection (b) of this section.

(2) Continuing employment

It is unlawful for a person or other entity, after hiring an alien for employment in accordance with paragraph (1), to continue to employ the alien in the United States knowing the alien is (or has become) an unauthorized alien with respect to such employment.

. . . .

(e) Compliance

(4) Cease and desist order with civil money penalty for hiring, recruiting, and referral violations

With respect to a violation of subsection (a)(1)(A) or (a)(2) of this section, the order under this subsection—

(A) shall require the person or entity to cease and desist from such violations and to pay a civil penalty in an amount of—

(i) not less than $250 and not more than $2,000 for each unauthorized alien with respect to whom a violation of either such subsection occurred.

(ii) not less than $2,000 and not more than $5,000 for each such alien in the case of a person or entity previously subject to one order under this paragraph, or

(iii) not less than $3,000 and not more than $10,000 for each such alien in the case of a person or entity previously subject to more than one order under this paragraph; and

(B) may require the person or entity—

(i) to comply with the requirements of subsection (b) (or subsection (d) of this section if applicable) with respect to individuals hired (or recruited or referred for employment for a fee) during a period of up to three years, and

(ii) to take such other remedial action as is appropriate.

In applying this subsection in the case of a person or entity composed of distinct, physically separate subdivisions each of which provides separately for the hiring, recruiting, or referring for employment, without reference to the practices of, and not under the control of or common control with, another subdivision, each such subdivision shall be considered a separate person or entity.

(5) Order for civil money penalty for paperwork violations

With respect to a violation of subsection (a)(1)(B) of this section, the order under this subsection shall require

the person or entity to pay a civil penalty in an amount of not less than $100 and not more than $1,000 for each individual with respect to whom such violation occurred. In determining the amount of the penalty, due consideration shall be given to the size of the business of the employer being charged, the good faith of the employer, the seriousness of the violation, whether or not the individual was an unauthorized alien, and the history of previous violations.

. . . .

(f) Criminal penalties and injunctions for pattern or practice violations

(1) Criminal penalty

Any person or entity which engages in a pattern or practice of violations of subsection (a)(1)(A) or (a)(2) of this section shall be fined not more than $3,000 for each unauthorized alien with respect to whom such a violation occurs, imprisoned for not more than six months for the entire pattern or practice, or both, notwithstanding the provisions of any other Federal law relating to fine levels.

(2) Enjoining of pattern or practice violations.

Whether the Attorney General has reasonable cause to believe that a person or entity is engaged in a pattern or practice of employment, recruitment, or referral in violation of paragraph (1)(A) or (2) of subsection (a) of this section, the Attorney General may bring a civil action in the appropriate district court of the United States requesting such relief, including a permanent or temporary injunction, restraining order, or other order against the person or entity, as the Attorney General deems necessary.

8 U.S.C. § 1324c. Penalties for documents fraud

(a) Activities Prohibited

It is unlawful for any person or entity knowingly—

(1) to forge, counterfeit, alter, or falsely make any document for the purpose of satisfying a requirement of this chapter or to obtain a benefit under this chapter,

(2) to use, attempt to use, possess, obtain, accept, or receive or to provide any forged, counterfeit, altered, or falsely made document in order to satisfy any requirement of this chapter or to obtain a benefit under this chapter,

(3) to use or attempt to use or to provide or attempt to provide any document lawfully issued to or with respect to a person other than the possessor (including a deceased individual) for the purpose of satisfying a requirement of this chapter or obtaining a benefit under this chapter,

(4) to accept or receive or to provide any document lawfully issued to or with respect to a person other than the possessor (including a deceased individual) for the purpose of complying with section 1324a(b) of this title or obtaining a benefit under this chapter, or

(5) to prepare, file, or assist another in preparing or filing, any application for benefits under this chapter, or any document required under this chapter, or any document submitted in connection with such application or document, with knowledge or in reckless disregard of the fact that such application or document was falsely made or, in whole or in part, does not relate to the person on whose behalf it was or is being submitted or

(6) (A) to present before boarding a common carrier for the purpose of coming to the United States a document which relates to the alien's eligibility to enter the United States, and (B) to fail to present such document to an immigration officer upon arrival at a United States port of entry.

§ 1546. Fraud and misuse of visas, permits, and other documents

(a) Whoever knowingly forges, counterfeits, alters, or falsely makes any immigrant or nonimmigrant visa, permit, border crossing card, alien registration receipt card, or other document prescribed by statute or regulation for entry into or as evidence of authorized stay or employment in the United States, or utters, uses, attempts to use, possesses, obtains, accepts, or receives any such visa, permit, border crossing card, alien registration receipt card, or other document prescribed by statute or regulation for entry into or as evidence of authorized stay or employment in the United States, knowing it to be forged, counterfeited, altered, or falsely made, or to have been procured by means of any false claim or statement, or to have been otherwise procured by fraud or unlawfully obtained; or

Whoever, except under direction of the Attorney General or the Commissioner of the Immigration and Naturalization Service, or other proper officer, knowingly possesses any blank permit, or engraves, sells, brings into the United States, or has in his control or possession any plate in the likeness of a plate designed for the printing of permits, or makes any print, photograph, or impression in the likeness of any immigrant or nonimmigrant visa, permit or other document required for entry into the United States, or has in his possession a distinctive paper which has been adopted by the Attorney General or the Commissioner of the Immigration and Naturalization Service for the printing of such visas, permits, or documents; or

Whoever, when applying for an immigrant or nonimmigrant visa permit, or other document required for entry into the United States or for admission to the United States personates another, or falsely appears in the name of a deceased individual, or evades or attempts to evade the immigration laws by appearing under an assumed or fictitious name

without disclosing his true identity, or sells or otherwise disposes of, or offers to sell or otherwise dispose of, or utters such visa, permit, or other document, to any person not authorized by law to receive such document; or

Whoever knowingly makes under oath, or as permitted under penalty of perjury under section 1746 of title 28, United States Code knowingly subscribes as true, any false statement with respect to a material fact in any application, affidavit, or other document required by the immigration laws or regulations prescribed thereunder, or knowingly presents any such application, affidavit, or other document which contains any such false statement or which fails to contain any reasonable basis in law or fact—

Shall be fined under this title or imprisoned not more than 25 years (if the offense was committed to facilitate an act of international terrorism (as defined in section 2331 of this title)), 20 years (if the offense was committed to facilitate a drug trafficking crime as defined in section 929(a) of this title)), 10 years (in the case of the first or second such offense, if the offense was not committed to facility[1] such an act of international terrorism or a drug crime), or 15 years (in the ease of any other offense), or both.

(b) Whoever uses—

(1) an identification document, knowing (or having reason to know) that the document was not issued lawfully for the use of the possessor,

(2) an identification document knowing (or having reason to know) that the document is false, or

(3) a false attestation,

for the purpose of satisfying a requirement of section 274A(b) of the Immigration and Nationality Act, shall be fined under this title imprisoned not more than 5 years, or both.

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[1] So in original. Probably should be "facilitate"

This section does not prohibit any lawfully authorized investigative, protective, or intelligence activity of a law enforcement agency of the United States, a State, or a subdivision of a State, or of an intelligence agency of the United States, or any activity authorized under title V of the Organized Crime Control Act of 1970 (18 U.S.C. note prec. 3481). For purposes of this section, the term "State" means a State of the United States, the District of Columbia, and any commonwealth, territory, or possession of the United States.

(June 25, 1948, c. 645, 62 Stat. 771; June 27, 1952, c. 477, Title IV, § 402(a), 66 Stat. 275; Oct. 18, 1976, Pub.L. 94-550, § 5, 90 Stat. 2535; Nov. 6, 1986, Pub.L. 99-603, Title I, § 103(a), 100 Stat. 3380; Oct. 24, 1988, Pub.L. 100-525, Title I, § 2(c), 102 Stat. 2610; Nov. 29, 1990, Pub.L. 101-647, Title XXXV, § 3550, 104 Stat. 4926; Sept. 13, 1994, Pub.L. 103-322, Title XIII, § 130009(a)(4), (5), Title XXXIII, § 330011(p), 108 Stat. 2030, 2145; Sept. 30, 1996, Pub.L. 104-208, Div. C, Title II, §§ 211(a)(2), 214, 110 Stat. 3009-569; 3009-572; Oct. 11. 1996, Pub.L. 104-294, Title VI, § 607(m), 110 Stat. 3512.)